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May 11, 2023

By Hand Delivery
Mr. Terri Lemoine Bordelon
Louisiana Public Service Commission
602 North Fifth Street
Baton Rouge, Louisiana 70802

LA PUBLIC SERVICE COMM
MAY 11 2023 PM4:06

Re: Application of Entergy Louisiana, LLC for Approval of Alternative Process to Secure up to 3,000 MW of Solar Resources, Certification of those Resources, Expansion of the Geaux Green Option, Approval of a New Renewable Tariff, and Related Relief (LPSC Docket No. U-36697)

Dear Ms. Bordelon:

I have enclosed, on behalf of Entergy Louisiana, LLC ("ELL" or "Company"), four CD copies of a Non-Confidential Public Version of Phase 2 of the Company's Application for Approval of Alternative Process to Secure up to 3,000 MW of Solar Resources, Certification of those Resources, Expansion of the Geaux Green Option, Approval of a New Renewable Tariff, and Related Relief. This phase includes the Supplemental Direct Testimony and Exhibits of Laura K. Beauchamp and the Direct Testimonies and Exhibits of Elizabeth Ingram, Troy Heytens, and Daniel Boratko.

Also enclosed are five CD copies of the Highly Sensitive Protected Materials ("HSPM") version of the referenced filing, which are being provided to you under seal pursuant to the provisions of the LPSC General Order dated August 31, 1992, and Rules 12.1 and 26 of the LPSC's Rules of Practices and Procedures. The HSPM portions of this filing contain confidential materials consisting of competitively sensitive market information, the public disclosure of which could subject ELL and its customers to substantial risk of harm. Accordingly, this portion of the filing has been designated HSPM. It is critical that this version be kept protected.

Please retain the appropriate number of copies of the Public and HSPM versions for your files and return a date-stamped copy of each version to our courier. If you have any questions, please do not hesitate to call me. Thank you for your courtesy and assistance with this matter.

Sincerely,

E. M. Murphy

Erin M. Murphy

EMM/jlc
Enclosures
cc: Official Service List (*public version only via electronic mail*)

BEFORE THE

LOUISIANA PUBLIC SERVICE COMMISSION

EX PARTE: **APPLICATION OF ENTERGY LOUISIANA, LLC FOR APPROVAL OF ALTERNATIVE PROCESS TO SECURE UP TO 3,000 MW OF SOLAR RESOURCES, CERTIFICATION OF THOSE RESOURCES, EXPANSION OF THE GEAUX GREEN OPTION, APPROVAL OF A NEW RENEWABLE TARIFF, AND RELATED RELIEF**	**)**	**DOCKET NO. U-36697**

SUPPLEMENTAL DIRECT TESTIMONY

OF

LAURA K. BEAUCHAMP

ON BEHALF OF

ENTERGY LOUISIANA, LLC

PUBLIC REDACTED VERSION

MAY 2023

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I. INTRODUCTION

Q1. PLEASE STATE YOUR NAME, TITLE, AND BUSINESS ADDRESS.

A. My name is Laura Beauchamp. I am employed by Entergy Louisiana, LLC ("ELL" or the "Company") as the Director, Resource Planning and Market Operations. My business address is 4809 Jefferson Highway, Jefferson, Louisiana 70121.

Q2. ON WHOSE BEHALF ARE YOU FILING THIS SUPPLEMENTAL DIRECT TESTIMONY?

A. I am filing this Supplemental Direct Testimony on behalf of ELL.

Q3. WHAT IS THE PURPOSE OF YOUR SUPPLEMENTAL DIRECT TESTIMONY?

A. My Supplemental Direct Testimony provides additional information regarding the Company's resource planning needs and other needs that will be met by the proposal in this docket, as well as details regarding the specific alternative market-based mechanism for which the Company is seeking approval and the support for the Company's request that the resources procured through such mechanism be certified by the Louisiana Public Service Commission ("LPSC" or "Commission") as serving the public convenience and necessity.

II. RESOURCE PLANNING NEEDS AND OTHER CONSIDERATIONS MET BY THE PROPOSAL IN THIS DOCKET

Q4. DID YOU DISCUSS THE COMPANY'S NEED FOR ADDITIONAL LONG-TERM GENERATING CAPACITY IN YOUR DIRECT TESTIMONY?

A. Yes.

Q5. DO YOU HAVE ANY SUPPLEMENTAL INFORMATION REGARDING THIS NEED?

A. Yes. As stated in my Direct Testimony filed on March 13, 2023, the Company's projected load, including a reserve margin, exceeds the expected capacity of ELL's existing and LPSC-approved resources. This load forecast indicates a need for additional generating capacity over the course of the long-term planning horizon to replace deactivated capacity and address load growth, in order to reliably serve customers. Over the past two years, ELL has, in multiple filings before the Commission, described the need for capacity over the coming decade, including filings involving the 2021 Solar Portfolio, which was approved in LPSC Docket No. U-36190;[1] the 2022 Solar Portfolio filed in LPSC Docket No. U-36685; and ELL's Draft 2023 Integrated Resource Plan ("IRP") provided in LPSC Docket No. I-36181.[2] In the assessments supporting those dockets, solar resources were identified as one of the economic options to address ELL's long-term capacity and energy

[1] *See,* LPSC Order No. U-36190 (October 14, 2022), *Entergy Louisiana, LLC, ex parte*, *In re: Application for Certification and Approval of the 2021 Solar Portfolio, Rider Geaux Green Option, Cost Recovery and Related Relief.*

[2] The Company has also discussed the need for capacity over the long-term planning horizon in other recent dockets, including but not limited to, LPSC Docket No. U-36105.

needs, owing in part to the declining cost of solar resources over the past decade relative to other types of generation, as well as to ELL's recent investments in dispatchable, gas-fired generation, which generation serves as the foundation for ELL's ability to integrate intermittent resources like solar into its resource portfolio without jeopardizing reliability or shifting cost responsibility for that reliability to customers of other utilities. Meeting ELL's long-term capacity and energy needs while balancing reliability and sustainability requires that a variety of generating technologies be procured, and solar is one of the technologies that will help ELL achieve its planning objectives.

Also as noted in my Direct Testimony, ELL's Business Plan 2023 ("BP23") shows a larger need for long-term capacity and energy than the previous Business Plan, in part due to the significant load growth that is forecasted. Highly Sensitive Protected Materials ("HSPM") Exhibit LKB-2 reflects ELL's resources relative to forecasted load for 2024 – 2035, with the red lines depicting the forecasted capacity and energy deficits from year to year. HSPM Exhibit LKB-2 was prepared using the load forecast from ELL's BP23, with consideration of current owned and contracted resources, as well as those future resources that already have been approved by the LPSC. In terms of resource availability, HSPM Exhibit LKB-2 reflects unit deactivation assumptions from BP23, and existing Power Purchase Agreements ("PPAs") that are assumed to expire on stated expiration dates.

Under our current business planning assumptions, ELL will have a capacity and energy need as soon as [redacted]. As seen in HSPM Exhibit LKB-2, ELL forecasts a need for approximately [redacted]

[redacted][3] LKB-2 similarly shows an energy deficit over the same time period. ELL's Draft 2023 IRP in LPSC Docket No. I-36181 identified both a combined cycle gas turbine ("CCGT") and solar resources as components of the reference resource plan optimized portfolio.[4] Therefore, renewable resources, such as solar, are energy producing resources that help ELL meet both its capacity and energy requirements over the long-term planning horizon. The amount of capacity and energy sought in this docket, therefore, is an appropriate step towards meeting the future capacity and energy needs of ELL. To meet these load requirements, and as Louisiana continues to pursue economic growth and long-term resilience, ELL will continuously refine an integrated plan that considers generation, transmission, demand response, and energy efficiency that can meet customer needs in the lowest-reasonable-cost manner. As explained in my Direct Testimony, ELL's resource planning efforts are focused on delivering the right type and amount of generating capacity to reliably serve customers and, just as importantly, deploying clean energy resources for its existing and expanding customers. Further, expanding access to clean energy resources for both existing customers and new customers looking to locate in Louisiana is now a necessity for economic development -- that is, to retain businesses that presently conduct their operations here and to compete effectively for and attract new ones.

[3] The figures provided here reflect unforced capacity ("UCAP"), rather than installed capacity ("ICAP").

[4] *See, 2023 Integrated Resource Plan (Draft Report)*, (October 21, 2022) LPSC Docket No. I-36181, *Entergy Louisiana, LLC*, *In re: 2021 Request to Initiate Integrated Resource Planning Process Pursuant to the General Order (Corrected) in Docket No. R-30021 dated April 20, 2012.*

Q6. WHAT SORT OF POTENTIAL IMPACT FROM LOUISIANA'S ECONOMIC DEVELOPMENT PROSPECTS MUST THE COMPANY CONSIDER IN ITS RESOURCE PLANNING?

A. In Louisiana, existing infrastructure, workforce availability, and access to deep water ports puts our state at the forefront to compete globally for new customers and a further expansion of our industrial base. ELL must have adequate capacity and energy to meet the needs of those customers. Many of the economic development opportunities involve projects that are looking to expand or locate in Louisiana and to power their facilities with clean energy to meet their own sustainability goals. These customers are demanding more timely deployment of solar resources and tariff options in order to reduce and/or eliminate the carbon footprint associated with electricity needed to run their operations. Therefore, there is a connection between the load growth that is anticipated, the need for renewable resources, in particular, and the economic development that would be enabled by such resources. In this environment, the relief that ELL is seeking in this docket is important to Louisiana capturing the tremendous economic development opportunity that will benefit all citizens and our State for many years to come.

Q7. PLEASE ELABORATE ON THE CONNECTION BETWEEN ECONOMIC DEVELOPMENT AND THE RELIEF THE COMPANY IS REQUESTING IN THIS DOCKET.

A. As discussed by Mr. Phillip May in his testimony filed on March 13, 2023, ELL has received requests from existing customers as well as prospective customers to deploy solar resources and to do so within the timeframe requested by customers to meet their

commercial needs and sustainable energy requirements. Many businesses that are considering Louisiana as a possible location have sustainability goals of their own. As a result, a prerequisite for such businesses locating in Louisiana is access to emission-free energy. Indeed, certain federal incentives that would support economic development in this state are contingent upon the reduction or offset of Scope 2 emissions.[5] The amount and pace of the addition of solar resources that is being proposed in this docket addresses the needs of these customers and will help Louisiana remain an attractive location for the siting of new businesses. Company witness Elizabeth C. Ingram discusses further the interest from new and existing customers that has been expressed for the addition of renewable resources and the proposed new green tariff, including specific examples of such interest, in HSPM exhibits to her testimony. An expedited approval and certification process for solar resources would improve ELL's ability to support the economic development of Louisiana and the state's efforts to attract additional job-creating projects. In other words, if ELL is able to bring more renewable resources online more quickly, then it can support the investment in Louisiana by other businesses. In recognition of this fact, letters showing the support for ELL's addition of renewable resources, as proposed in this docket, from three economic development-focused groups are attached as HSPM, Confidential Exhibit LKB-3.[6] These economic development groups are leaders in our State's efforts to retain

[5] *See, e.g.*, *Renewable Electricity Production Credit*, Department of the Treasury, Internal Revenue Service (February 3, 2023), *available at: https://www.irs.gov/pub/irs-pdf/i8835.pdf* (discussing, in part, the Clean Hydrogen Production credit). Scope 2 emissions are defined as greenhouse gas emissions associated with the purchase of electricity, steam, heat, or cooling. *See*, *Scope 1 and Scope 2 Inventory Guidance,* Environmental Protection Agency (September 9, 2022), *available at https://www.epa.gov/climateleadership/scope-1-and-scope-2-inventory-guidance*.

[6] HSPM Exhibit LKB-3 contains HSPM and confidential information. It is available to be provided to qualified reviewing representatives of parties that are not excluded from the receipt of such information and that have executed a confidentiality agreement.

businesses and attract new businesses, and their letters of support show that access to new renewable resources is an imperative to drive growth.

Further, also as discussed in Mr. May's testimony, the Company has sustainability goals of its own. Entergy expects that half of our power generation capacity will come from carbon-free energy sources by 2030, with a goal of achieving net-zero carbon emissions by 2050. Not only does the interest from customers in new renewable resources align with the Company's sustainability goals, but such interest also aligns with the amount and type of resources that have been identified by the Company in its resource planning process, as discussed above.

III. ALTERNATIVE MARKET-BASED MECHANISM

Q8. WHAT IS THE COMMISSION'S MARKET-BASED MECHANISM ORDER?

A. The current version of the Market-Based Mechanisms Order ("MBM Order")[7] was adopted by the Commission on October 29, 2008, and established various procedures and requirements for the market testing of most proposed capacity acquisitions. The MBM Order augments the procedures of the 1983 General Order and requires a utility proposing to acquire or build new generating capacity to "employ a market-based mechanism" consisting of a Request For Proposals ("RFP") competitive solicitation process.[8] The utility must present the results and analysis from this RFP to the Commission as part of the

[7] *See,* General Order (October 29, 2008), *In re: Possible Suspension of, or Amendments to, the Commission's General Order dated November 3, 2006 (Market Based Mechanisms Order) to Make the Process more Efficient and to Consider Allowing the Use of On-Line Auctions for Competitive Procurement, Docket No. R-26172, Sub Docket C.*

[8] *Id*., at p. 5.

"justification" required by Paragraph (2) of the 1983 General Order.[9] In addition, the MBM Order prescribes procedures to be followed by the utility in conducting the RFP process and presenting the results of that process to the Commission Staff.[10] The Order is flexible, however, and allows utilities to propose exceptions to the RFP process when it is in the "public interest" to do so.[11] The Order provides for different types of exceptions, including both alternatives to the traditional RFP process as well as full exemptions. The Commission has previously applied these exceptions to the MBM Order in circumstances in which, as is the case here, sufficient data and procedures are available to demonstrate that resources are being procured at a price consistent with prevailing market prices.[12]

Q9. IS THE COMPANY PROPOSING AN ALTERNATIVE TO THE TRADITIONAL RFP PROCESS CONTAINED IN THE MBM ORDER?

A. Yes, for the reasons I described in my Direct Testimony filed in this docket on March 13, 2023.

9 *Id.*

10 *Id.* at p. 6-7.

11 *Id*. at 5.

12 *See*, *e.g.*, LPSC Order No. U-34303 (March 20, 2017), *Entergy Louisiana, LLC, In re: Application for Authorization to Amend a Contract for the Purchase of Capacity and Electric Power from Occidental Chemical Corporation's Taft Facility*, (finding that a PPA extension was consistent with the MBM Order because it was supported by an alternative procedure); LPSC Order No. U-34966 (November 9, 2018), *Entergy Louisiana, LLC, In re: Joint Application for Approval of Toledo Bend Hydroelectric Power Sales Agreement*, (approving a renewable resource that was not selected through the traditional RFP process); LPSC Order No. U-36105 (October 13, 2022), *Entergy Louisiana, LLC, In re: Application for Certification to Deploy Natural Gas-Fired Distributed Generation and Authorization to Implement Rider UODG*, (finding that a modified procurement process served as an alternative procurement approach under the MBM Order).

Q10. PLEASE PROVIDE A SUMMARY OF THE ALTERNATIVE MARKET-BASED MECHANISM THAT IS PROPOSED IN THIS DOCKET.

A. As discussed in more detail below, the alternative market-based mechanism proposed in this docket consists of steps that include many of the same steps as the traditional RFP process -- but with certain significant differences that are designed to enable timelier procurement of resources while protecting customers' interests consistent with the spirit and intent of the MBM Order.

Q11. WHAT ARE THE OBJECTIVES OF THIS PROCESS?

A. As explained in my Direct Testimony filed in this docket on March 13, 2023, this process is meant to enable the Company to procure solar resources in a time frame that will enable ELL to meet the needs of its customers while also assuring that these resources reflect the lowest reasonable cost alternatives for customers. Further, and also as explained in my prior testimony in this docket, this process will better conform the procurement process to current market dynamics and the challenges faced by the development of solar resources, which will benefit ELL's customers by enabling solar developers to offer ELL more competitive pricing and other terms, thus lowering the cost and improving the risks and economics of these resources, all else equal; by enabling solar developers to offer ELL more competitive pricing and other terms, the proposed process will help optimize the chances that new solar resources are competitive and in the public interest, thereby increasing the likelihood that solar resources are completed and placed into service.

As can be seen in other dockets before the LPSC, the pressures of time can cause issues and challenges related to obtaining materials, the financing of projects, and the

MISO transmission interconnection queue process.[13] The timelines that result from the traditional MBM Order process are incompatible with the current market volatility, which includes rapidly increasing interest rates that make it difficult for solar developers to secure financing at a set interest rate for the entire pendency of the traditional process, as well as supply chain constraints and evolving import requirements, including tariffs.[14] Additionally, because solar resources are generally smaller and able to be constructed more quickly than other types of generating resources, as I discussed in my Direct Testimony filed on March 13, 2023, the financing for such projects is likely to be structured differently than the financing for the types of resources that have previously been selected through the traditional RFP process, many of which were already in commercial operation. Therefore, the financing of solar resources may be more affected by the longer timelines of the traditional RFP and approval processes than the financing for other types of resources.

The RFP process, as outlined in the MBM Order, also creates difficulties with the MISO transmission interconnection queue process, as I discuss further below. The alternative market-based mechanism proposed in this docket is designed to expedite the process where possible, in order to achieve the objectives discussed here, while still serving and maintaining compliance with the spirit and purpose of the MBM Order.

[13] *See*, *e.g.*, Correspondence filed April 18, 2023, LPSC Docket No. U-35927, *1803 Electric Cooperative*, *ex parte*, *In re: Application for Approval of Power Purchase Agreements and Cost Recovery*.

[14] A market-sensitive report purchased from a third-party source is available to be provided to qualified reviewing representatives of parties that are not excluded from the receipt of such information and that have executed a confidentiality agreement.

Q12. PLEASE DESCRIBE FURTHER HOW THE TRADITIONAL RFP PROCESS AS OUTLINED IN THE MBM ORDER CREATES CHALLENGES WITH THE MISO INTERCONNECTION QUEUE PROCESS.

A. The terms of ELL's RFPs require the bidder (a) to have submitted a generator interconnection request to MISO for the proposed resource as of the date of proposal submission into the RFP; (b) to maintain its position in the interconnection queue, at its cost, throughout the pendency of the RFP and, assuming proposal selection, throughout the pendency of the LPSC regulatory proceedings required for certification of the proposed resource; and (c) to bear the costs of obtaining transmission interconnection service under the MISO Tariff, including the cost of any required transmission upgrades, and to reflect these costs in the proposal pricing that the bidder offers into the RFP.[15] The Company imposes these requirements upon bidders as part of its RFP process for important reasons that serve its customers' interests. For example, because of the time required to complete the MISO interconnection process, if the bidder's resource has not been submitted into the MISO queue as of the date of bid submission, or if the bidder does not maintain its position in the queue until at least the time of proposal selection, then the bidder will not be in a position to deliver its resource timely to meet the ELL resource need. Further, if ELL were to bear the cost of maintaining all the RFP resources in the queue during the full duration of the RFP, it would potentially incur significant transmission interconnection costs for

[15] *See, e.g.,* 2022 Request for Proposals for Renewable Resources for Entergy Louisiana, LLC (issued June 14, 2022), Section 2.5, *available at: https://spofossil.entergy.com/ENTRFP/SEND/2022ELLRenewablesRFP/Documents/Main%20Body%20-%20Final%20RFP.pdf.*

resources for which it has no contractual entitlement and that likely will never serve its customers.

Under the MISO interconnection queue process, which is contending with a larger volume of resources seeking to interconnect than ever before,[16] an RFP bidder, in order to maintain its queue position, generally must make milestone payments and obtain and maintain site control for the proposed resource, and the risks and costs associated with those requirements become increasingly more onerous the longer the bidder remains in the interconnection queue.[17] As such, in pricing its RFP proposal, the bidder must account for these risks and incorporate the uncertainty and costs associated with the protracted period in which it will have to maintain its queue position into the pricing it offers into the RFP. By streamlining the RFP and certification processes, the Company's proposal thus seeks to reduce the level of risk and costs associated with the MISO interconnection queue process that the bidder must bear, and thus enable bidders to offer more competitive pricing into the RFP for the benefit of ELL's customers. To be clear, although streamlining the RFP and certification processes will not also streamline the MISO interconnection queue process, ELL's proposed alternative process will allow the bidder to achieve certainty regarding the status of its RFP proposal more quickly, thereby reducing the risk and uncertainty to the bidder and allowing the bidder potentially to offer more competitive

[16] *See* "Generation Interconnection Queue Update," presented to the MISO Board of Directors System Planning Committee (December 6, 2022), *available at: https://cdn.misoenergy.org/20221206%20System%20Planning%20Committee%20of%20the%20BOD%20Item%2020%20Generator%20Interconnection%20Queue%20Update627220.pdf*, at slides 2-3 (noting that MISO received a record number of interconnection queue submissions in 2022 with 956 projects totaling 171GW).

[17] *See, generally,* MISO Tariff, Attachment X (setting forth the system of milestone payments, or a demonstration of site control in lieu of milestone payments, that is used to help ensure the orderly administration of the definitive planning phase of the MISO interconnection queue process).

pricing as a result. Such an outcome would serve customers' interests by allowing ELL potentially to deliver lower cost resources without incurring significant additional risk.

Q13. PLEASE DESCRIBE HOW THE ALTERNATIVE MARKET-BASED MECHANISM PROPOSED BY THE COMPANY IN THIS DOCKET WOULD BE INITIATED.

A. Following Commission approval in this docket, the process would be initiated by the Company issuing documents that would provide information regarding the resources sought and the requirements for proposals, which are discussed further below. These documents would look much like the final documents in the traditional RFP process[18] in that they would include information on the scope of the process, the process itself, the requirements for any proposals submitted into the process, and more specific information regarding each type of proposal that will be accepted. The documents would also include appendices such as the Model PPA and Model build-own-transfer ("BOT") agreement that are attached to the testimony of Company witness Troy Heytens.

Q14. WHAT TYPES OF PROPOSALS WILL BE ACCEPTED THROUGH THIS PROCESS?

A. The Company would be willing to accept a wide range of proposals, including PPAs, BOT agreements, and self-build options. The Company would also be willing to accept PPAs with an option to acquire ownership during the term of the PPA.

[18] *See*, *e.g.*, *RFP Documents,* (June 14, 2022), *available at* https://spofossil.entergy.com/ENTRFP/SEND/2022ELLRenewablesRFP/Documents htm.

Q15. WHAT TECHNOLOGIES WILL QUALIFY FOR THIS PROCESS?

A. The process will be limited to Solar Photovoltaic ("PV") resources, with the optionality for projects to include proposals for battery energy storage technologies.

Q16. WHAT RESTRICTIONS WILL BE INCLUDED IN THE PROCESS?

A. In addition to the restrictions regarding the transaction type and the type of resource that are discussed above, the following restrictions will also be in place:

Type of Restriction	Restriction Detail
Location	Must be directly interconnected to the Louisiana region of the MISO Transmission System
Battery Energy Storage System Option	If option is included as part of proposal, it must be AC coupled, commercially proven lithium-ion technology, with a minimum 4-hour discharge
Transmission Deliverability	Firm NRIS deliverability is preferred, but ERIS resources will be considered
Capacity	Any individual resource must have a minimum capacity of 50 MW[19]
MISO Interconnection Queue	Existing GIA, DPP-2020-Cycle 1, DPP-2021-Cycle 1[20]
Pricing	PPAs: All-in, energy-only pricing Self-Builds and BOTs: Fixed payment, including whether pricing includes federal tax incentives for the project and including all project interconnection, transmission, and deliverability costs

[19] Although there is no maximum capacity requirement, the Company notes that many solar projects currently in the MISO interconnection queue in Louisiana are generally between 100 MW and 300 MW of installed capacity.

[20] The Company is proposing that the alternative market-based mechanism potentially be utilized for up to twenty-four (24) months. Given the potential length of the proposed mechanism, ELL reserves the right to include additional cycles.

Q17. PLEASE DESCRIBE THE STEPS OF THE PROCESS.

A. As stated previously, the process would begin by the Company's issuing documents containing the information necessary for other parties to submit proposals. The Company would then hold one bidders' conference, at which the Company will respond to questions regarding the issued documents. This bidders' conference will be recorded, with the recording posted on the alternative market-based mechanism's website. Although only one bidders' conference will be held, the Company will continue to respond to questions submitted to this website until the first date of the first period in which proposals will be accepted, with the responses being posted on the website under the Q&A tab. The proposals would then be accepted during certain, specified windows. Those windows would occur on regular intervals over a twenty-four (24) month period, with advance notice of the timing of the windows being provided to potential bidders, similar to ELL's traditional RFP process. The earlier windows would give preference to proposals for resources with earlier expected commercial operation dates ("CODs"), such that the proposals received during windows towards the end of the process will be for resources that have later CODs than the proposals that are submitted into the earlier windows. The windows will be spaced out at approximately even intervals over a twenty-four (24) month period, with no limit on the amount of resources that could be submitted during any particular window. An illustrative example of what a schedule for the process may look like is attached to my testimony as Exhibit LKB-4. This example shows the number of days after the issuance of the final documents that each step may take place, in comparison to the amount of time for each of the steps in the traditional RFP process in a recent docket. The purpose of holding multiple windows for submission of proposals that are based on a sliding scale of COD

applicability is to ensure that ELL is able to have resources online timely to meet customers' needs at the lowest reasonable cost.

After the proposals are received, they will be evaluated, as described below. Should the evaluations show that the proposals are within the parameters approved by the Commission in this proceeding, the Company would move into negotiations with the bidders. Assuming that the negotiations result in definitive agreements that are still within the parameters approved by the Commission, and internal approvals are received, the Company then would move forward with the development of the selected resources, without the requirement of further Commission approvals.

Q18. PLEASE DESCRIBE THE PROPOSAL EVALUATION PROCESS.

A. Each proposal will undergo two types of evaluations – an economic evaluation and a viability evaluation. The economic evaluation will ensure that the resources selected conform to the "breakeven parameters" proposed by ELL in this docket. The specific information regarding the breakeven parameter proposal is discussed by Company witness Mr. Daniel Boratko.

Q19. PLEASE DESCRIBE THE VIABILITY EVALUATION.

A. The second type of evaluation – viability – will examine certain non-economic characteristics of the proposals to assist in assuring that projects are ready for construction and can meet in-service dates. This includes, but is not limited to, factors such as whether the bidder has site control, the ability to obtain required permits, adequate financing arrangements, and utilization of approved technologies. As discussed in my Direct

Testimony filed on March 13, 2023, developments on the local government level related to land use permitting that occurred subsequent to the issuance of LPSC Order No. U-36190 show that such an analysis is helpful. The analysis also will determine whether the bidder has acceptable transmission service from MISO.

Q20. WHAT ROLE WOULD COMMISSION STAFF PLAY IN THE PROCESS?

A. ELL anticipates that, as it does with the traditional RFP process, Commission Staff would be fully briefed at all stages of the process and would be able to provide comments and help ensure that ELL is acting in accordance with the commitments it has made to the LPSC and the parameters approved by the LPSC both for the conducting of the alternative market-based mechanism and the selection of resources. ELL always has been very transparent with the Commission Staff to facilitate Commission Staff's oversight of the application of the MBM Order process, and the Company would continue to do so while conducting the proposed alternative mechanism. Indeed, given that this process would be new, ELL envisions even closer collaboration with Commission Staff to ensure that ELL is meeting the LPSC's expectations. ELL proposes that it report to Commission Staff at three separate points in the process: first, after the proposals are received; second, after the selections of the proposals are made; and third, after the negotiations and internal approval processes occur. With this structure, Commission Staff would be apprised of the process at frequent intervals such that compliance with any order in this docket could be monitored and assured. Provided that an executed PPA, BOT or self-build is at or below approved transaction parameters, execution of such transactions would be prudent and in the public interest. ELL would also have an ongoing obligation to prudently manage each transaction.

Q21. WOULD ELL ENGAGE AN INDEPENDENT MONITOR FOR THE RFP TO ASSIST STAFF IN ITS REVIEW AND MONITORING OF THE PROCESS?

A. Yes. ELL intends to engage an Independent Monitor to help ensure that the alternative market-based mechanism is conducted fairly and in accordance with the process approved by the LPSC.

Q22. IS THE PROCESS DESCRIBED HERE CONSISTENT WITH THE COMMISSION'S MBM ORDER?

A. Yes. Although I am not a lawyer, I am aware that the MBM Order provides that the purpose of using a market-based mechanism is to ensure that utility generation reflects the lowest reasonable cost alternative and is in the public interest.[21] Although the market-based mechanism proposed here is different from the mechanism found in the MBM Order, this proposal is designed to achieve the same goals as the MBM Order, simply on a faster timeline. This is done by keeping many of the same steps as the traditional RFP structure that is set forth in the MBM Order – public notice and issuance of the process, opportunities for questions from bidders, a competitive bidding process, an economic evaluation, Commission Staff oversight, and utilization of an Independent Monitor – but shortening the steps and having some of those steps occurring on a rolling basis.

[21] *See,* MBM Order, *supra*, note 7, p. 1.

Q23. DO INDUSTRY DEVELOPMENTS OCCURRING SINCE THE COMMISSION FIRST ADOPTED THE MBM ORDER SUPPORT THE COMPANY'S PROPOSAL FOR THE USE OF AN ALTERNATIVE TO THE TRADITIONAL RFP PROCESS?

A. Yes, I believe so. When the MBM Order was first adopted in 2002, the Commission recognized an imminent need for new generating capacity due to load growth and the lack of recent power plant construction by public utilities.[22] Around that same time, merchant entities that were not subject to the Commission's retail regulation had built or were constructing new gas-fired plants in and around Louisiana. Those plants were potential sources of capacity, as was new "self-build" generation constructed by regulated utilities, and the technology that supported the deployment of CCGT units was evolving and becoming more efficient. As the Company transformed its portfolio to cleaner, more efficient generation in the years after the adoption of the MBM Order, the traditional RFP process set forth in that order allowed sufficient time for due diligence during a period when CCGT technology was evolving, and merchant generation was available. As the technology changed and the Company's RFPs began to adopt requirements calling for specific technologies, the RFP process allowed interested parties to probe such requirements, on the one hand, and the Company to explain why the technology being sought was the most modern, efficient, and proven technology, on the other hand.[23]

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22 *See,* LPSC General Order dated April 10, 2002, LPSC Docket No. R-26172, *In re: Development of Market-Based Mechanisms to Evaluate Proposals to Construct or Acquire Generating Capacity to Meeting Native Load*, at 1.

23 *See, e.g.*, LPSC Docket No. U-33770 (seeking approval to construct the J. Wayne Leonard Power Station).

The modernization of ELL's generation portfolio, which has included the addition of resources that can start and ramp up quickly to meet customer demand, now allows the Company to grow its emission-free generating portfolio by adding intermittent solar resources. This is a different landscape than the Commission faced in 2002. Importantly, with one exception, each of the CCGT units that ELL has added to its generation portfolio has been over 500 MW.[24] By contrast, the solar resources that ELL seeks to deploy through the alternative mechanism proposed in this docket are expected to be much smaller, with most ranging from 100 MW to 300 MW based upon past experience as well as available information from the MISO queue. Furthermore, as I discussed in my Direct Testimony, solar resources, as compared to CCGTs, are fundamentally less complex to build, and each individual resource costs significantly less. The process proposed here is also designed to allow for diversity in locations and counterparties such that an issue that potentially could occur with one resource will not necessarily affect the other resources selected. This again differentiates the selection of solar resources as proposed in this docket from the use of the traditional RFP process to procure CCGTs, which typically are procured one at a time. These and other factors should give the Commission comfort that the timetable under which CCGT resources through the traditional RFP process were procured and certified is not necessary for solar resources.

[24] Those units are: Acadia Energy Center Power Block 2; J. Wayne Leonard Power Station; Lake Charles Power Station; Ninemile Unit 6; Ouachita Power Plant Unit 3; Perryville Power Station Unit 1; and Union Power Station, Unit 3 & Unit 4.

IV. APPROVAL OF RESOURCES PROCURED THROUGH THE ALTERNATIVE MARKET-BASED MECHANISM

Q24. PLEASE DESCRIBE THE COMMISSION'S ORDER PERTAINING TO RESOURCE CERTIFICATION.

A. Although I am not an attorney, my understanding is that the 1983 General Order requires any Commission-jurisdictional electric public utility that proposes to construct or acquire capacity or enter into a contract for the purchase of capacity or energy (other than emergency or economy energy) to apply to the Commission for certification that the public convenience and necessity would be served through the proposed construction, acquisition, or contract.[25] The 1983 General Order also requires that applications submitted pursuant to that order shall include the specific data used by the utility in the justification of the acquisition, construction, or PPA, an itemized projection of the total costs, and, in the case of a contract, the proposed contract in its entirety. The 1983 General Order then provides that the Commission shall schedule a public hearing promptly and render its decision within a certain number of days.

Q25. IS THE COMPANY SEEKING CERTIFICATION IN THIS DOCKET OF THE RESOURCES THAT WILL RESULT FROM THE ABOVE-DESCRIBED ALTERNATIVE MARKET-BASED MECHANISM?

[25] *See*, LPSC General Order dated September 20, 1983 (*In re: In the Matter of the Expansion of Utility Power Plant; Proposed Certification of New Plant by the LPSC*), as amended by General Order (Corrected) in Docket No. R-30517 (*In re: Possible modifications to the September 20, 1983 General Order to allow (1) for more expeditious certifications of limited-term resource procurements and (2) an exception for annual and seasonal liquidated damages block energy purchases*) dated May 27, 2009.

A. Yes. The Company is specifically requesting that the Commission certify in this docket the resources that will be procured pursuant to the Commission's order in this docket. While the Company has not sought certification under similar circumstances as exist in this docket before – where the resources will be identified and procured after the certification occurs – the Commission has previously certified contracts when the generation that may support those contracts was unknown,[26] and the total price of the contracts was unknown.[27] In this docket, while the specific resources are unknown, the supply justification and pricing parameters are known such that the information required by the 1983 General Order is available to make a public interest determination, as discussed below.

Although I am not an attorney, my understanding of the public convenience and necessity requirement of the 1983 General Order is that the resources are required to serve

[26] *See*, *e.g.*, LPSC Order No. U-35927 (January 28, 2022), *1803 Electric Cooperative, Inc., ex parte*, *In re: Application for Approval of Power Purchase Agreements and for Cost Recovery*; LPSC Order No. U-36133 (November 10, 2022), *Dixie Electric Membership Corporation, NextEra Energy Marketing, LLC, and Amite Solar, LLC, ex parte, In re: Joint Application for Approval of Power Supply Agreements*; LPSC Order No. U-36135 (November 10, 2022), *Jefferson Davis Electric Cooperative, Inc. and NextEra Energy Marketing, LLC, ex parte, In re: Joint Application for Power Supply Agreement*.

[27] *See*, *e.g.*, *Direct Testimony of R. Lane Sisung on behalf of the Louisiana Public Service Commission Staff*, Public Redacted Version, p. 54, LPSC Docket No. U-36133, *Dixie Electric Membership Corporation, NextEra Energy Marketing, LLC, and Amite Solar, LLC, ex parte, In re: Joint Application for Approval of Power Supply Agreements* (stating that the applicant utility had price assurance on only an average of 72% of its energy and capacity price for the first three years of a ten-year agreement); *see also*, *Direct Testimony of R. Lane Sisung on behalf of the Louisiana Public Service Commission Staff*, Public Redacted Version, p. 25, LPSC Docket No. U-36135, *Jefferson Davis Electric Cooperative, Inc. and NextEra Energy Marketing, LLC, ex parte, In re: Joint Application for Power Supply Agreement* (providing that, on average, approximately 72% of the price for energy and capacity in the first three years of a ten-year agreement were known in advance). *See also*, the proposals currently pending in LPSC Docket No. U-36514, *Concordia Electric Cooperative, Inc., NextEra Energy Marketing, LLC, and Mondu Solar, LLC, ex parte, In re: Joint Application for Approval of Long-Term Power Supply Agreements*; LPSC Docket No. U-36515, *Pointe Coupee Electric Membership Corporation, NextEra Energy Marketing, LLC, and Mondu Solar, LLC, ex parte, In re: Joint Application for Approval of Long-Term Power Supply Agreements*; and LPSC Docket No. U-36516, *Southwest Louisiana Electric Membership Corporation, NextEra Energy Marketing, LLC, and Beauregard Solar, LLC, ex parte, In re: Joint Application for Approval of Long-term Power Supply Agreements*.

the public interest.[28] These resources will serve ELL's customers by meeting a demonstrated capacity and energy need at the lowest reasonable cost. Additionally, these resources can be added to ELL's generation portfolio without negatively impacting reliability due to the Commission's support and approval of ELL's recent investments in dispatchable, gas-fired generation.[29] These resources will also serve the State of Louisiana more broadly through the environmental benefits provided by the resources and by enabling the economic development that may otherwise not occur without the ability of businesses to access electricity from emission-free resources.

Moreover, as Ms. Ingram describes in her testimony, service taken under the Company's proposed Rider Geaux ZERO ("GZ") will increase the net benefits of the Company's proposed solar resources for all ELL customers. This is particularly true if Rider GZ is fully subscribed. Importantly, the structure of the alternative market-based mechanism, and the timing of the windows for submission of proposals in relation to the timing of the windows in which customers can subscribe to Rider GZ, allows for the Company to evaluate the subscription levels to Rider GZ during the acquisition of resources along with other considerations like the balance of resources needed to meet capacity and energy requirements for ELL. This will allow the Company to coordinate the amount of resources acquired with the subscription levels of Rider GZ and capacity and

[28] *See*, LPSC Order No. U-30192, *Entergy Louisiana, ex parte*, *In re: Application of Entergy Louisiana, LLC for Approval to Repower Little Gypsy Unit 3 Electric Generating Facility and for Authority to Commence Construction and for Certain Cost Protection and Cost Recovery, Id.* at p. 19-20.

[29] With the load growth that ELL is experiencing, ELL expects that the renewable resources acquired pursuant to any order in this docket will not entirely fulfill ELL's capacity and energy needs, and therefore, other types of resources will likely be needed in the future.

energy deficits such that the acquisition of solar resources pursuant to any order in this docket delivers benefits to all ELL customers.

Q26. WHAT IS THE PROJECTION OF THE TOTAL COST?

A. As discussed in the testimony of Company witness Mr. Boratko, ELL is proposing certain cost metrics that would be used as the parameters for the acquisition of the up to 3,000 MW of solar resources. Those cost metrics would delineate the potential upper end of the total cost of the resources that could be acquired pursuant to any order in this docket. As explained by Mr. Boratko, the parameters proposed by ELL in this docket are reasonable and are consistent with external market data. Further, ELL is committing that the resources selected from the process proposed here will be selected only if the economic evaluation projects that the resources will have positive net benefits.

Additionally, as I mentioned above, the Commission previously has approved contracts when the generation supporting those contracts was unknown, and the total contract price was unknown.[30] Indeed, in those dockets, the price uncertainty increased as the term of the contract progressed, and there was no upper bound on the price of the contract.[31] Here, although there is some price uncertainty, the parameters proposed by ELL provide the Commission with the metrics for the maximum potential total cost to evaluate.

[30] *See*, LPSC Order No. U-35927 (January 28, 2022), *1803 Electric Cooperative, Inc., ex parte, In re: Application for Approval of Power Purchase Agreements and for Cost Recovery*; LPSC Order No. U-36133 (November 10, 2022), *Dixie Electric Membership Corporation, NextEra Energy Marketing, LLC, and Amite Solar, LLC, ex parte, In re: Joint Application for Approval of Power Supply Agreements*; LPSC Order No. U- 36135 (November 10, 2022), *Jefferson Davis Electric Cooperative, Inc. and NextEra Energy Marketing, LLC, ex parte, In re: Joint Application for Power Supply Agreement*.

[31] *Id*.

Again, based on other recent market information and as explained by Mr. Boratko, this potential total cost is reasonable and appropriate for the solar resources sought in this docket.

Q27. IS IT POSSIBLE THAT THE BREAKEVEN PARAMETERS MAY CHANGE OVER TIME?

A. Yes. As I discussed previously, ELL regularly updates its planning assumptions to reflect new supply costs, technologies, and other market information. To the extent changes in our planning assumptions, or changes in external market factors, would materially change the threshold or breakeven price, it may be necessary to update the breakeven parameters. In such circumstances, the Company would return to the Commission with a further filing proposing how to proceed. Assuming the background information on the need for those resources has not changed, ELL believes such a proceeding under these specific circumstances described here still could benefit from an expedited review process, and that said expedited review could be in customers' interests, for all the reasons set forth herein.

Q28. ALTHOUGH, IF ITS FILING IS APPROVED, ELL WOULD BE SELECTING RESOURCES ONLY WITH POSITIVE NET BENEFITS, DOES THAT MEAN ELL NEVER WOULD SEEK CERTIFICATION OF OTHER RESOURCES WITH NEGATIVE NET BENEFITS?

A. No. Under certain circumstances, it may be appropriate for other resources with negative net benefits to be selected. For instance, in the event that capacity is needed, and the utility has followed an MBM Order-compliant process that resulted in proposals with negative

net benefits, such resources may still be selected to fulfill the capacity need. The regulatory standard for the selection of resources is the lowest reasonable cost standard, and that standard applies equally to resources that may have negative net benefits but are needed by the utility. An example of such a resource could be a simple-cycle combustion turbine ("CT") that is needed to support reliability or to meet peak load conditions. Because the energy costs of a CT typically exceed those of a CCGT, the CT may well have negative net benefits—but that in no way obviates the need to procure the resource to meet the utility's supply needs provided that the lowest reasonable cost standard is met. As stated previously, ELL does not currently propose to pre-certify resources with negative net benefits under the process proposed here but would, instead, return to the Commission with a further filing and obtain an appropriate Commission order if ELL proposed to do so in the future.

Q29. WHAT ARE THE SCHEDULED COMPLETION DATES OF THE RESOURCES?

A. As discussed above, the Company is proposing that the alternative process allow for CODs of various dates, with the COD of each resource determining when that resource can be submitted into the process. Because of this design, the resources that the Company seeks are expected to have CODs in 2026 and 2027. The earlier windows for submissions of proposals would have a preference for CODs that are in 2026.

Q30. ARE THE MODEL TRANSACTION AGREEMENTS BEING PROVIDED ALONG WITH THIS APPLICATION?

A. Yes. Company witness Troy Heytens discusses the Model PPA and Model BOT agreement that are being filed along with this application.

V. CONCLUSION

Q31. HOW DOES YOUR TESTIMONY SUPPORT THE REQUESTS MADE BY ELL IN THIS DOCKET?

A. Both my Direct Testimony, filed in this docket on March 13, 2023, and my Supplemental Direct Testimony show the need that ELL has for additional generation. My testimony also shows how the additional benefits of these resources will serve the public interest, and, in particular, the environmental and economic development benefits that these resources will provide. Further, my testimony demonstrates that the proposal in this docket provides these benefits and meets the need for generation in the manner with the lowest reasonable cost through the acquisition of solar PV resources. Finally, my testimony shows how the alternative market-based mechanism meets the objectives of the MBM Order while enabling ELL to acquire solar PV resources during a time of great market volatility.

Q32. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes, at this time.

AFFIDAVIT

STATE OF LOUISIANA

PARISH OF JEFFERSON

NOW BEFORE ME, the undersigned authority, personally came and appeared, **Laura K. Beauchamp**, who after being duly sworn by me, did depose and say:

That the above and foregoing is her sworn testimony in this proceeding and that she knows the contents thereof, that the same are true as stated, except as to matters and things, if any, stated on information and belief, and that as to those matters and things, she verily believes them to be true.

Laura K. Beauchamp

SWORN TO AND SUBSCRIBED BEFORE ME

THIS 20 DAY OF APRIL 2023

NOTARY PUBLIC

My commission expires: at death

LAWRENCE J. HAND, JR., 23770
Notary Public in and for
the State of Louisiana.
My Commission is for Life.

BEFORE THE

LOUISIANA PUBLIC SERVICE COMMISSION

EX PARTE: **APPLICATION OF ENTERGY LOUISIANA, LLC FOR APPROVAL OF ALTERNATIVE PROCESS TO SECURE UP TO 3,000 MW OF SOLAR RESOURCES, CERTIFICATION OF THOSE RESOURCES, EXPANSION OF THE GEAUX GREEN OPTION, APPROVAL OF A NEW RENEWABLE TARIFF, AND RELATED RELIEF**	**)**	**DOCKET NO. U-36697**

EXHIBIT LKB-2
LOAD & CAPACITY

HIGHLY SENSITIVE
PROTECTED MATERIAL

INTENTIONALLY OMITTED

MAY 2023

BEFORE THE

LOUISIANA PUBLIC SERVICE COMMISSION

EX PARTE: **APPLICATION OF ENTERGY LOUISIANA, LLC FOR APPROVAL OF ALTERNATIVE PROCESS TO SECURE UP TO 3,000 MW OF SOLAR RESOURCES, CERTIFICATION OF THOSE RESOURCES, EXPANSION OF THE GEAUX GREEN OPTION, APPROVAL OF A NEW RENEWABLE TARIFF, AND RELATED RELIEF**	**)**	**DOCKET NO. U-36697**

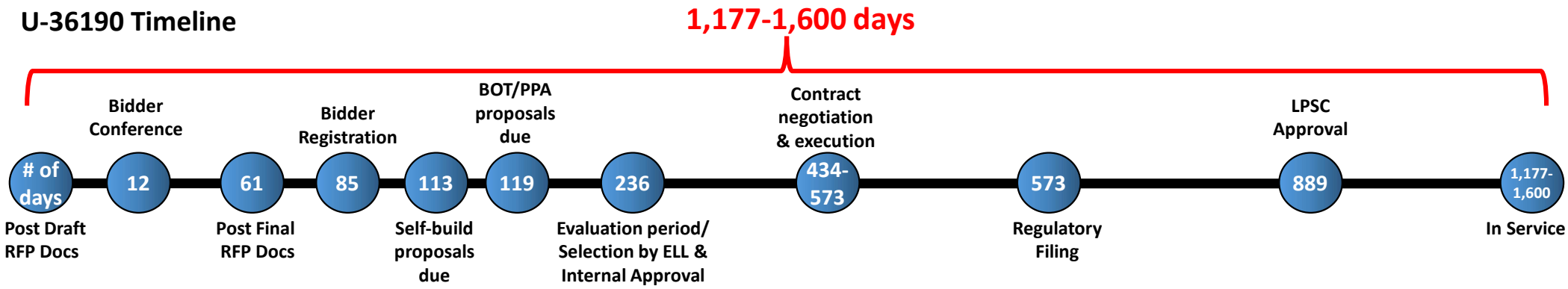
EXHIBIT LKB-3
LETTERS OF SUPPORT

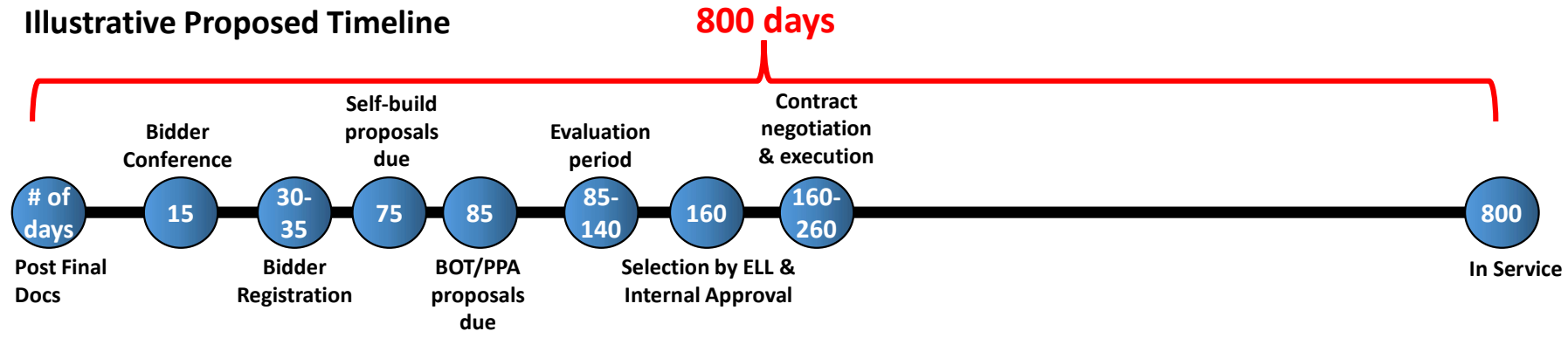
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INTENTIONALLY OMITTED

MAY 2023

Timeline Comparison





BEFORE THE

LOUISIANA PUBLIC SERVICE COMMISSION

EX PARTE: **APPLICATION OF ENTERGY LOUISIANA, LLC FOR APPROVAL OF ALTERNATIVE PROCESS TO SECURE UP TO 3,000 MW OF SOLAR RESOURCES, CERTIFICATION OF THOSE RESOURCES, EXPANSION OF THE GEAUX GREEN OPTION, APPROVAL OF A NEW RENEWABLE TARIFF, AND RELATED RELIEF**	)))))))))	**DOCKET NO. U-36697**

DIRECT TESTIMONY

OF

ELIZABETH C. INGRAM

ON BEHALF OF

ENTERGY LOUISIANA, LLC

PUBLIC REDACTED VERSION

MAY 2023

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HSPM Exhibit ECI-4	Letters of Support for Geaux ZERO Tariff
Exhibit ECI-5	Illustrative Example of Open Season Process under the Proposed Geaux ZERO Tariff
HSPM Exhibit ECI-6	Illustrative Example of Billing Calculations under the Proposed Geaux ZERO Tariff
Exhibit ECI-7	Illustrative Example of GZ Cost Allocation Ratio Calculation

I. INTRODUCTION

Q1. PLEASE STATE YOUR NAME, TITLE, AND BUSINESS ADDRESS.

A. My name is Elizabeth C. Ingram. I am Director, Regulatory Affairs for Entergy Louisiana, LLC ("ELL" or the "Company"). My business address is 4809 Jefferson Highway, Jefferson, Louisiana 70121.

Q2. ON WHOSE BEHALF ARE YOU FILING THIS DIRECT TESTIMONY?

A. I am filing this Direct Testimony on behalf of ELL.

Q3. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND AND PROFESSIONAL EXPERIENCE.

A. In 2001, I earned a Bachelor of Arts degree with a double-major in Government and Economics from The College of William and Mary in Virginia. Following my undergraduate degree, I spent five years working in the Washington D.C. and San Francisco, CA areas in accounting and finance roles for companies outside of the energy industry. In 2008, I obtained a Master's in Business Administration degree from the University of California, Berkeley. I spent several years working to develop utility-scale renewable energy power plants in California before accepting a position in the Energy Procurement department at Pacific Gas & Electric ("PG&E"). At PG&E, I negotiated several intermediate and long-term transactions on behalf of the company, led projects to update the company's form of tolling agreement and to develop the company's first form of energy storage agreement, and supervised a team handling commercial policy and compliance activities. In 2015, I accepted a position at Entergy Services, Inc. (now Entergy

Services, LLC,[1] which I generally refer to throughout my testimony as "ESL") as Manager, Regulatory Research. In that role, I supervised a team of analysts that was responsible for providing research and support to the EOCs on various regulatory, ratemaking, strategy, and policy matters including those related to emerging technologies, such as smart grid, energy efficiency and demand response, renewable energy, and distributed energy resources ("DERs"). In early 2019, I accepted a position as Manager, Regulatory Affairs for ELL. In that capacity, I was responsible for providing regulatory support services to ELL. In late 2020, I was promoted to Director, Regulatory Affairs, where I continue to provide regulatory support service to ELL.

Q4. HAVE YOU PREVIOUSLY TESTIFIED BEFORE THE COMMISSION?

A. Yes. A list of my prior testimonies is attached as Exhibit ECI-1.

II. PURPOSE OF TESTIMONY

Q5. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of my testimony is to support ELL's Application in this Docket. The Company's Application seeks (i) certification of and approval for the addition of up to 3,000 megawatts ("MW") of incremental solar photovoltaic ("PV") generating resources to the Company's generating portfolio to meet resource planning needs and customer demand; (ii) a finding that the public interest supports accepting an alternative market-

[1] ESL is an affiliate of the Entergy Operating Companies ("EOCs") that provides engineering, planning, accounting, legal, technical, regulatory, and other administrative support services to each of the EOCs. The EOCs are ELL; Entergy Arkansas, LLC; Entergy Mississippi, LLC; Entergy New Orleans, LLC; and Entergy Texas, Inc.

based mechanism for those resources or, solely in the alternative, granting an exemption to certain requirements of the Commission's Market-Based Mechanisms General Order ("MBM Order"),[2] so that LPSC approval may be obtained on a timetable more suitable to the development and deployment of solar technology during the current market volatility; (iii) approval of a new renewable tariff, Geaux ZERO[3] (or "Rider GZ"), which the Company is proposing in order to offer customers another option for meeting their sustainability goals, as I describe in detail; (iv) approval to allocate a portion of the proposed 3,000 MW of incremental solar PV generating resources to support the existing green tariff, the Geaux Green Option ("Rider GGO"),[4] under circumstances I explain in further detail; and (v) approval of cost recovery for the resources the Company is proposing to procure. More specifically, I discuss the reasons, as also supported by other witnesses, that the relief requested in the Company's Application serves the public interest.

I describe the significantly increased interest from the Company's customers, particularly larger commercial and industrial ("C&I") customers in electric service

[2] General Order, LPSC Docket No. R-26172 Subdocket A, *In re: Development of Market-Based Mechanisms to Evaluate Proposals to Construct or Acquire Generating Capacity to Meeting Native Load, Supplements the September 20, 1983 General Order*, dated February 16, 2004 (as amended by General Order, LPSC Docket No. R-26172 Subdocket B, dated November 3, 2006, and further amended by the April 26, 2007 General Order, and the amendments approved by the Commission at its October 15, 2008 Business & Executive Meeting and now in General Order, LPSC Docket No. R-26172, Subdocket C dated October 29, 2008).

[3] ELL's proposed Geaux Zero Emissions Resource Option "Geaux ZERO" (or "Rider GZ") is attached as Exhibit ECI-2.

[4] Rider GGO is a voluntary offering that allows eligible customers to align some or all of their electricity requirements with renewable resources along with the Renewable Energy Certificates ("RECs"). The Commission approved Rider GGO for implementation and found that it serves the public interest. *See,* LPSC Order No. U-36190 (October 14, 2022), *Entergy Louisiana, LLC, ex parte*, *In re: Application for Certification and Approval of the 2021 Solar Portfolio, Rider Geaux Green Option, Cost Recovery and Related Relief.* In addition, the Company has an application pending before the Commission seeking an expansion of the GGO portfolio. *See,* LPSC Docket No. U-36685, *Entergy Louisiana, LLC, ex parte*, *In re: Application for Certification and Approval of the 2022 Solar Portfolio, Expansion of the Geaux Green Option, Cost Recovery and Related Relief.*

products that can assist them in achieving their environmental and sustainability goals. As other witnesses discuss in greater detail, the RFP process currently utilized by ELL to comply with the MBM Order is acting as an impediment to the Company's being able to acquire renewable resources expeditiously enough to meet these customer demands. For this reason, and others that I describe more fully, approval of the Company's alternative market-based mechanism serves the public interest. I also describe how approval of Geaux ZERO, and potential expansion of Rider GGO, serve the public interest by fulfilling customer demand for clean energy products, while preserving a fair allocation of costs and benefits for all customers under the Commission's supervision. Finally, I describe the rate mechanisms the Company proposes to use for recovering the costs associated with the proposed solar resources.

III. CUSTOMER INTEREST IN RENEWABLE OPTIONS

Q6. WHY IS THE COMPANY SEEKING TO EXPAND ITS GREEN TARIFF PRODUCTS?

A. The Company has made this request in order to help meet its customers' significantly increased demand for new renewable energy products, such as Rider GGO and the proposed Rider GZ, that can assist them in achieving their environmental and sustainability goals. As was demonstrated in LPSC Docket No. U-36190 and as described by Company witnesses Phillip R. May and Laura K. Beauchamp in their respective Direct Testimonies in this Docket, providing products to ELL's customers that can assist them in achieving such goals will be crucial for maintaining Louisiana as an attractive location for large commercial, industrial, and manufacturing operations, which, in turn, benefits the State economy and all Louisiana residents.

Q7. PLEASE DESCRIBE THE INCREASED INTEREST OF ELL'S CUSTOMERS IN NEW RENEWABLE ENERGY PRODUCTS THAT CAN ASSIST IN ACHIEVING THEIR ENVIRONMENTAL AND SUSTAINABILITY GOALS.

A. A growing number of ELL's C&I customers have asked for assistance in aligning their electric energy consumption with their company's corporate sustainability goals, where established. Companies each set their sustainability goals differently, some targeting CO_2 emissions reductions and others targeting a proportion of their electricity usage to be sourced from renewable energy. Regardless of which method is utilized to set a particular company's sustainability targets, the majority of ELL's customers with such targets have indicated that rate options that provide them access to the attributes of renewable resources would help meet their goals. As demonstrated in the record of LPSC Docket No. U-36190 and as described by Mr. May and Ms. Beauchamp in this Docket, ELL and the Commission's responsiveness to customer interest in this regard will be critical for continuing to make Louisiana an attractive location for existing, and potentially new, C&I customers. This is a large part of the reason the Company proposed, and the Commission approved, Rider GGO.

Q8. HAS THESE CUSTOMERS' INTEREST IN RIDER GGO MATCHED THE COMPANY'S EXPECTATIONS OF THE DEMAND FOR SUCH PRODUCTS?

A. Yes, and customers' interest in Rider GGO has exceeded ELL's expectations. Since the Commission approved Rider GGO and the 2021 Solar Portfolio, ELL provided a path for larger C&I customers to request reservations of the 365 MW of GGO subscriptions that were allocated to that group of customers. On the date that subscription reservations were

opened, the 365 MW was fully reserved ***within minutes***, and to date, ELL C&I customers have expressed interest in enrolling in over 2,000 MW worth of Rider GGO subscriptions. A list of GGO reservations from larger C&I customers (excluding sensitive, customer information) is provided in Exhibit ECI-3.[5]

Q9. IS RIDER GGO THE ONLY KIND OF RENEWABLE ENERGY PRODUCT IN WHICH ELL'S CUSTOMERS HAVE EXPRESSED INTEREST?

A. No. Customers have also expressed interest in a product that does not include a 50 MW cap (per parent company), which some larger customers have indicated is too restrictive in meeting their companies' sustainability goals. Larger industrial customers (both existing and potential new customers) have asked ELL for ways to get a larger renewable subscription size in order to offset more of their Scope 2 emissions and sooner than expansions in Rider GGO could support. A second preference expressed by a more limited number of customers relates to an alternate price structure, specifically, a structure that provides the ability to access renewable attributes from new resources without taking on the wholesale market price risk included in many green tariff and other renewable products. A third request from larger customers in relation to green tariff offerings is for ELL to provide an enrollment process that accounts for the longer-term commitment required for Geaux ZERO. The new Geaux ZERO tariff is meant to provide a new customer option that addresses all three preferences.

[5] The attached GGO reservation list is as of May 1, 2023, and accounts for the expansion of the Geaux Green portfolio that ELL proposed in LPSC Docket No. U-36685.

IV. GEAUX ZERO

Q10. WHY IS THE COMPANY PROPOSING A NEW RENEWABLE TARIFF OFFERING?

A. As noted above, ELL has seen a significant and growing interest in renewable options across all customer classes in recent years. While Rider GGO fulfills this interest at some level, industrial customers (both new and existing) have also expressed an interest in a green tariff that allows larger subscriptions, additional pricing structures, and different enrollment procedures. In response, the Company has sought to develop a voluntary option that would meet this significant customer interest.

Q11. PLEASE DESCRIBE ELL'S PROPOSED RIDER GZ.

A. The Company's proposed Geaux ZERO tariff provides a path for much larger renewable subscriptions than currently permitted by Rider GGO (due to the current 50 MW cap per parent company applied for Rider GGO). In order to participate in Rider GZ, industrial customers must commit to participate in the program over a long-term horizon. Customers will have the ability to choose between two different pricing options in the Geaux ZERO tariff: Option A (also known as the Renewable Energy Credit or "REC" Option) and Option B (also known as the Volumetric Price Option), both of which I will explain further later in my testimony. In addition, participating Customers will have the RECs associated with their subscription to Rider GZ retired on their behalf.

Q12. WHICH CUSTOMERS WILL BE ELIGIBLE TO PARTICIPATE IN GEAUX ZERO?

A. Rider GZ will be available to new and existing industrial ELL customers that take metered electric service, have signed an electric service agreement ("ESA") with the Company,

request to subscribe to more than 100 MW through Geaux ZERO, and are in good standing with the Company. In order to participate, qualifying customers must have a signed ESA in place to take service under one of the following active, industrial rate schedules: LIPS-L, LPS-G, LPS-TOD-G, HLFS-G, HLFS-TOD-G, LPHLF-G, and LLHLFPS-L. In addition, the cap on any customer's subscription will be the applicable subscription size that would generate renewable energy on an annual basis equal to 100% of the customer's projected annual usage associated with service from ELL during the subscription period.[6]

Q13. HAVE CUSTOMERS EXPRESSED INTEREST IN GEAUX ZERO?

A. Yes. Letters from new and existing customers interested in Rider GZ are included in HSPM Exhibit ECI-4.[7]

Q14. HOW WILL SUBSCRIPTIONS BE ALLOCATED WITHIN RIDER GZ?

A. ELL proposes to allocate the up to 3,000 MW of incremental solar PV resources for which certification is requested in this docket to the new Geaux ZERO tariff. Up to 1,000 MW, or one third, of subscriptions would be available to qualifying industrial customers that subscribe under Option A by the end of this calendar year. More specifically, eligible customers that sign 20-year binding agreements under Option A of Rider GZ before

[6] As further noted within Section II of Rider GZ, customers are not able to enroll in subscription amounts across all of the Company's renewable options that collectively would produce more renewable energy on an annual basis than the customer's projected annual electric usage from ELL. Additional restrictions on subscription sizes are provided in Attachment A to the proposed Rider GZ.

[7] HSPM Exhibit ECI-4 contains HSPM and market sensitive information. It is available to be provided to qualified reviewing representatives of parties that are not excluded from the receipt of such information and that have executed a confidentiality agreement.

December 31, 2023 will be accommodated on a first-come, first-served basis for up to 1,000 MW of subscriptions ("Group 1 Subscriptions"). After December 31, 2023, any remaining unsubscribed capacity from the Group 1 Subscriptions plus the remaining 2,000 MW will be made available for eligible Customers to enroll through future open season processes ("Group 2 Subscriptions"). In each future open season, available Capacity of Designated Renewable Resources for the tranche of Group 2 Subscriptions (based upon finalized transactions from the alternative procurement process) will be allocated among eligible industrial Customers as follows:

Eligible Participants[8]	Allocation (%)
Existing Customers	25%
Expanding Customers	25%
New Customers	50%

In other words, as an example, if a 1,000 MW tranche of resources were made available through an open season enrollment process of Group 2 Subscriptions, the initial allocation would be 250 MW for Existing Customers, 250 MW for Expanding Customers, and 500 MW for New Customers.

Q15. HOW WILL THE OPEN SEASON ENROLLMENT PROCESS FOR GROUP 2 SUBSCRIPTIONS TO GEAUX ZERO WORK?

A. Due to the longer-term commitment associated with Geaux ZERO, the Company is recommending the majority of subscriptions to the new Geaux ZERO tariff be determined via an "open season" style process for enrollment, which is outlined in the graphic below.

[8] *See*, Section VII of Rider GZ for more information on how these groups of customers are defined.

Effectively, interested industrial customers would provide a non-binding subscription estimate for Group 2 Subscriptions (collectively, the "Initial Queue") to ELL for planning purposes at the start of the resource procurement process under the alternative market-based mechanism explained more fully by Ms. Beauchamp. At the end of the procurement process, ELL will provide the customers in the Initial Queue with the applicable Option A and Option B prices and allow a short window (30 days) for customers to return binding commitments, including final, requested subscription sizes, the selected pricing option, and the selected length of the contract period under Geaux ZERO, for the applicable tranche of Group 2 subscriptions.[9] At the end of the 30-day commitment period, if the total subscription amounts received from eligible, binding commitments for a group of eligible participant subscriptions (*e.g.*, the applicable amount allocated to New Customers in that tranche) are over-subscribed, ELL will assign the final subscription amounts on a pro-rata basis to the customers in that tranche.[10] Alternatively, if any group of eligible participant subscriptions is not fully subscribed at the end of the 30-day window, available subscriptions could be re-allocated first to cover any over-subscribed group of eligible participants in Rider GZ in the same tranche, second to supply a future open season enrollment window for the next tranche of subscriptions to Geaux ZERO, and third (if excess remains) to supply a further expansion of Rider GGO.

[9] As noted in Section IV and Attachment A of Exhibit ECI-2, customers enrolling in Group 2 Subscriptions can elect to subscribe in Geaux ZERO for an initial period of ten, fifteen, or twenty years.

[10] *See*, Exhibit ECI-5 for an illustrative example of the open season enrollment process.



Q16. HOW WILL THE SUBSCRIPTION FEES FOR OPTION A OF RIDER GZ BE DETERMINED?

A. Under Option A, participating customers will see an additional charge on their bill. The additional charge will be based upon the following formula:

GZ Energy x GZ REC Charge, where:

GZ Energy is defined in Section VII of the Rider GZ as: the monthly energy associated with the Customer's contracted GZ Capacity kW and calculated based on the following formula: [Customer's Ratio x Monthly Renewable Resource kWh Output]. Application for billing purposes will be on a two-month lag.[11]

and

GZ REC Charge is defined in Section VII of the Rider GZ as: for customers electing to take service under Option A, the prices for RECs provided to Customer during the full term of their service under GZ will be specified in Customer's GZ Contract. The REC price will be based upon the following formula: the first-year price for RECs will be the most recent historical 12-month average value for the S&P Global Renewable Energy Credit Index for Texas wind RECs or an equivalent successor index, as of the current Month at the time customer subscribes to GZ, plus an administrative fee based upon REC tracking, reporting and administrative

[11] *See,* proposed Rider GZ provided in Exhibit ECI-2 for the meaning of additional defined terms referenced in my testimony.

costs of the applicable RECs. The REC price for each subsequent year will be established by applying 2% annual escalation to the S&P Global REC Index component of the first-year price.

An illustrative example of the overall billing calculations for Option A customers is provided in HSPM Exhibit ECI-6, which contains market-sensitive information that will only be shared with qualified reviewing representatives that have executed a confidentiality agreement and that are not excluded from reviewing such information.

Q17. HOW WILL THE SUBSCRIPTION FEES AND BILL CREDITS AVAILABLE UNDER OPTION B OF RIDER GZ BE DETERMINED?

A. Under Option B, participating customers will see additional line item(s) on their bill that capture the three key components of the Option B pricing: the subscription fee, the offsetting energy bill credit, and the offsetting capacity bill credit. The Option B subscription fee will be based upon the following formula:

GZ Energy x GZ Energy Charge, where:

GZ Energy is defined as noted above,

and

GZ Energy Charge is defined in Section VII of Rider GZ as: for customers electing to take service under Option B, the price for GZ Energy provided to Customer during the full term of their service under GZ will be specified in the Customer's GZ Contract. The energy price will be based upon the following formula: the cost of energy associated with the Designated Renewable Resources over the expected life of such resources divided by the total expected energy output of the Designated Renewable Resources over the expected life of such resources. Any Designated Renewable Resources that will be owned by the Company will have an expected life of thirty (30) years, and any Designated Renewable Resources that will be owned by third parties will have an expected life equal to the term of the power purchase agreement for such resource.

In addition, Option B customers will also receive bill credits to account for the energy and capacity value of their share of the resource portfolio, and such bill credits will provide an offset to the subscription fees assessed for a participating customer's subscription. To the extent that the bill credits exceed the subscription fee, a customer would see a net savings on their utility bill as a result of participating in the program. The energy-based bill credit will functionally operate just like the bill credits available in Rider GGO. Specifically, it will be based upon the following formula:

GZ Energy x MISO Market Settlement Rate, where:

GZ Energy is defined as noted above,

and

MISO Market Settlement Rate is defined in Section VII of Rider GZ as: per kWh rate derived from monthly weighted average locational marginal prices (LMPs) for ELL load zone (EES.ELILD) based on the output of the Designated Renewable Resources in MISO energy markets. Application for billing purposes will be on a two-month lag.

In addition, the capacity-based bill credit will be based upon the following formula:

Customer's Ratio x MISO Capacity kW x Capacity Credit Rate, where:

Customer's Ratio is defined in Section VII of Rider GZ as: a calculation based upon the following formula: [Customer's GZ Capacity kW / Capacity of Designated Renewable Resources].

MISO Capacity kW is defined in Section VII of Rider GZ as: the total amount of capacity (kW) accredited by MISO for Designated Renewable Resources, as identified in the Customer's GZ Contract, or the corresponding reduction in the Planning Reserve Margin Requirements, in the applicable billing month. Application for billing purposes will be on a two-month lag.

And

Capacity Credit Rate is defined in Section VII of Rider GZ as: for customers electing to take service under Option B, the credit rate for MISO Capacity kW provided to Customer during the full term of their service under GZ will be

specified in the Customer's GZ Contract. The credit rate will be in terms of $ per kW-month.

An illustrative example of the overall billing calculations for Option B customers is provided in HSPM Exhibit ECI-6, which, again, contains market sensitive information that will only be shared with qualified reviewing representatives that have executed a confidentiality agreement and that are not excluded from reviewing such information.

Q18. WILL OPTION B PARTICIPANTS HAVE AN OPPORTUNITY TO RECEIVE ENERGY MARKET REVENUES FROM THE APPLICABLE GZ PORTFOLIO?

A. Yes. As noted above, participating customers will receive a bill credit every month providing their share of MISO energy market revenues from the applicable GZ Portfolio of Designated Renewable Resources specified in their GZ Contract. Application for billing purposes will be on a two-month lag.

Q19. WHAT IS THE BASIS OF THE CAPACITY CREDIT RATE?

A. The Capacity Credit Rate is to recognize the capacity value of the resources in the new tariff portfolio. All customers in a procurement tranche will be assigned the same Capacity Credit Rate, which will be identified in a Customer's GZ Contract and be based on the capacity value provided by the Designated Renewable Resources.[12]

[12] More specifically, the Capacity Credit Rate will [redacted]

Q20. HOW DOES GEAUX ZERO COMPARE TO OTHER RENEWABLE OPTIONS AVAILABLE TO ELL CUSTOMERS?

A. Geaux ZERO is a further expansion of ELL's suite of renewable offerings that offers eligible customers long-term options to acquire new renewable resources (thus providing additionality) while also providing pricing options similar to other shorter-term solutions offered by the Company.[13]

Option A provides an industrial customer the ability to buy asset-backed RECs from new renewable resources at a set price over a long-term horizon. It offers some similarities to ELL's Rider Large Volume Green Pricing Option ("LVGPO"), which also involves the sale of RECs to customers at prices based on market prices for RECs.[14] However, Geaux ZERO Option A is differentiated from LVGPO by the tenor of the customer's commitment, additionality, and because it allows participants a mechanism to establish an upfront price for RECs over the term of the agreement and thus have more certainty into one component of their utility bill.

Geaux ZERO Option B offers an industrial customer the ability to enter a long-term, green tariff arrangement that is very similar to the Volumetric Price Option (also known as "Option B") within Rider GGO. Aside from the longer tenor of the customer's

[13] ELL generally interprets customer desire for "additionality" to mean that the customer's commitment to a renewable offering (*e.g.*, Geaux Green or Geaux ZERO) is what helped facilitate the renewable resource being constructed (as opposed to the renewable offering being supplied by existing renewable resources).

[14] Rider LVGPO was approved in LPSC Order No. U-35916 (April 21, 2022), *Entergy Louisiana, LLC, ex parte*, *In re: Application of Entergy Louisiana, LLC for Authorization to Implement a Green Pricing Option, Rider GPO, and Related Relief.* Under LVGPO, eligible customers can match a portion of their electricity usage from ELL accounts with RECs. LVGPO (which is marketed under the product name Green Select Large Volume) is a Green-e certified product, requires a one-year commitment from a customer to participate, can be sourced from RECs from renewable resources anywhere in the United States, and the price for RECs is based on the same S&P Global Renewable Energy Credit Index for Texas wind RECs used to determine prices under Geaux ZERO Option A. For more information on Green Select Large Volume, *see* https://renew.entergy.com/louisiana/green-select-large-volume.

commitment, the key difference between Option B in Rider GZ and Option B in Rider GGO is how capacity value is accounted for within the price structure. Under Option B of Rider GGO, capacity value is accounted for within an adjustment to the subscription fee calculations. By contrast, Option B of Rider GZ accounts for capacity value within a bill credit that offsets the subscription fee.

Q21. HOW WILL ALL CUSTOMERS (INCLUDING NON-PARTICIPANTS) BE AFFECTED BY A PORTION OF THESE RESOURCES BEING DEDICATED TO GEAUX ZERO?

A. At a high-level, both options available under Geaux ZERO offer benefits to all customers. First and foremost, it is important to keep in mind that the underlying renewable resources that will supply Geaux ZERO are expected to be economic for all customers before the effects of the green tariff are taken into account. Moreover, as Ms. Beauchamp has described in her testimony, addition of the resources will provide needed capacity and energy to help further ELL's long term resource planning goals of providing reliable service at a reasonable cost. Under Option A of Rider GZ, the subscription fees paid by Option A participants will provide an offset to the cost of the underlying renewable resources, thereby increasing the net benefits from such resources provided to all customers. Under Option B of Rider GZ, the subscription fee revenue from participants will offset a significant portion (and over time, all) of the costs of the portfolio of Designated Renewable Resources, allowing all customers to enjoy certain benefits of new solar generating capacity at little to no cost. In addition, the bill credits provided to participants of Option B of Rider GZ will be offset by MISO energy market revenue

received from the resources. Overall, the net effect to all customers under Option B of Rider GZ, if fully subscribed, is a net cost of capacity across the life of the portfolio of far less than the long-term, avoided cost of capacity. Furthermore, such net cost of capacity will be further reduced by the load payment component of variable supply cost savings that will accrue to all customers through the fuel adjustment clause. [15]

Q22. WILL PARTICIPATING CUSTOMERS NEED TO ENTER INTO A CONTRACT WITH ELL IN ORDER TO PARTICIPATE IN RIDER GZ?

A. Yes. Industrial customers eligible for and enrolling in Geaux ZERO will be required to sign a rider or amendment to their ESA.

Q23. HOW WILL REVENUES AND BILL CREDITS ASSOCIATED WITH RIDER GZ BE HANDLED FOR RATEMAKING PURPOSES?

A. Similar to Rider GGO, revenues and bill credits to participants of Rider GZ will be reflected for ratemaking purposes through cost recovery mechanisms that exist at the time the Rider is administered. The Company is proposing that the subscription fees collected from participants in Rider GZ be reflected in the same mechanisms proposed for recovery of the costs of the underlying resources, *i.e.*, the Company's Formula Rate Plan ("FRP") and Fuel Adjustment Clause ("FAC"), thus reducing, or offsetting, the revenue requirement allocated to customers through those mechanisms. To allocate the revenues generated from

[15] An illustrative example containing HSPM and market sensitive information is available to be provided to qualified reviewing representatives of parties that are not excluded from the receipt of such information and that have executed a confidentiality agreement.

subscription fees between these mechanisms, the Company will utilize a ratio (the "GZ Cost Allocation Ratio"), which will be determined annually for resources offered through Rider GZ based on levels of total available subscriptions for that year. Specifically, the GZ Cost Allocation Ratio will be determined annually based upon (i) the number of available subscriptions (in terms of kW-month) created by owned resources that will be operational in the upcoming year and (ii) 25% of available subscriptions (in terms of kW-month) associated with the purchased power agreements ("PPAs") that have Network Resource Interconnection Service ("NRIS") or Network Integration Transmission Service ("NITS") with MISO that will be operational in the upcoming year. To calculate the GZ Cost Allocation Ratio, the sum of (i) and (ii) above shall be divided by the number of total available subscriptions (in terms of kW-month) for that year. Exhibit ECI-7 provides an illustrative example of the GZ Cost Allocation Ratio calculation.

V. MECHANICS OF EXPANDING RIDER GGO

Q24. HOW DOES RIDER GGO WORK?

A. As demonstrated more fully in the record of the proceeding in which Rider GGO was approved, LPSC Docket No. U-36190, by enrolling in Rider GGO, participating customers will pay a fee based on their share of costs of the overall GGO portfolio, receive bill credits based on their share of MISO energy revenue from the portfolio, and have the RECs associated with their share of the portfolio retired on their behalf. Customers opting to participate in Rider GGO will see additional line items on their bills to account for the two

components of Rider GGO: (a) a subscription fee[16] and (b) a bill credit. As was also demonstrated in LPSC Docket No. U-36190, the subscription fee revenue from participants will offset a significant portion of the costs of the resources that are included in the GGO Portfolio, allowing all customers to enjoy the benefits (which include both enhanced reliability and economic benefits) of new solar generating capacity at a reduced cost. In addition, the bill credits provided to participants will be offset by MISO energy market revenue received from the resources. The end result is that Rider GGO has several benefits, which include (i) allowing customers to meet their sustainability goals, which is a critical objective for maintaining and increasing economic growth within Louisiana; (ii) facilitating the addition of solar generating resources; and (iii) allowing for a fair and equitable allocation of the net benefits of these resources, consistent with Commission Order No. U-36190.

Q25. HOW MUCH OF THE 3 GW PORTFOLIO DOES ELL PROPOSE TO ALLOCATE TO AN EXPANSION OF RIDER GGO?

A. In the event that customers do not subscribe to the full 3,000 MW proposed in this application through the new Geaux ZERO tariff by December 31, 2025, any unsubscribed capacity may be allocated to an expansion of Rider GGO.

[16] The Commission approved three alternatives for the calculation of subscription fees: a Fixed Price Option (also referred to as "Option A" in Rider GGO), a Volumetric Price Option (also referred to as "Option B" in Rider GGO), and a Low-Income Residential Option (also referred to as "Option C" in Rider GGO). In LPSC Docket No. U-36685, ELL proposed two new options: a Low-Income Donation Option (also referred to as "Option D" in Rider GGO) and a Low-Income Credit Option (also referred to as "Option E" in Rider GGO). If approved by the Commission and if non-residential customers elect to participate in Option D, then Low-Income Residential Customers would be enrolled in Option E instead of the previously-approved Option C, which will further increase the benefits available to low-income customers without modifying the allocation of costs and benefits to non-participants that was approved in LPSC Order No. U-36190.

Q26. IN WHAT WAY DOES ELL'S REQUEST TO INCLUDE ADDITIONAL SOLAR CAPACITY IN RIDER GGO NECESSITATE MODIFYING THE RIDER?

A. This request would not actually modify the functional attributes of Rider GGO (*e.g.*, the manner in which bill credits and subscription fees impact a participating customer's utility bill) or the terms pursuant to which Rider GGO received Commission approval, including the cost and benefit allocations that the Commission approved as serving the public interest. ELL simply seeks the ability to expand Rider GGO in the unlikely event that Rider GZ is not fully subscribed by December 31, 2025, which I noted above.

Q27. WHAT ASPECTS OF THE COMMISSION-APPROVED RIDER GGO IS THE COMPANY PROPOSING TO MODIFY TO ACHIEVE THIS EXPANSION?

A. The Company is not proposing changes as of the date of submittal of my Direct Testimony. However, once resources are identified and procured pursuant to the alternative market-based mechanism the Company is proposing in this Docket and in the event those resources are not subscribed through Rider GZ after December 31, 2025, then Rider GGO could be modified to reflect inclusion of the new, unsubscribed resources within the GGO Portfolio. Specifically, within Attachment A to Rider GGO, the total Capacity of Designated Renewable Resources, the allocation of subscriptions by customer class, and the subscription fees would need to be updated to reflect the expansion of the GGO Portfolio. In addition, the list of Designated Renewable Resources within Attachment B to Rider GGO would need to be updated to reflect the expansion of the GGO Portfolio. Once the alternative market-based mechanism discussed by Ms. Beauchamp in her Supplemental

Direct Testimony has been conducted, and once a decision is made to allocate unsubscribed GZ capacity to the GGO Portfolio after December 31, 2025, ELL would submit tariff compliance filings to update Attachments A and B to Rider GGO to account for the additional resources and in compliance with the timelines required by LPSC Order No. U-36190, which I more fully explain later in my testimony.

Q28. WOULD THE COMPANY'S REQUEST TO EXPAND RIDER GGO AFFECT THE COST OF CUSTOMERS' PARTICIPATION IN RIDER GGO?

A. Yes, including new resources in Rider GGO would result in a change in the dollar amount of the subscription fees charged to participating customers. However, ELL is not requesting approval of the specific changes to the subscription fees in this Application, as LPSC Order No. U-36190 already prescribes a process for updating subscription fees when new resources are added to Rider GGO. And more importantly, ELL has not yet conducted the alternative market-based mechanism process to procure new renewable resources. Similarly, the proposed expansion would not require, and ELL is not requesting approval for, modifications to the methodology for calculating the subscription fees and bill credits, or the ratemaking treatment associated therewith, that the Commission approved in LPSC Order No. U-36190.

Q29. WHAT PROCESS DOES LPSC ORDER NO. U-36190 CONTEMPLATE FOR UPDATING RIDER GGO SUBSCRIPTION FEES IN THE EVENT THAT NEW RESOURCES ARE ADDED TO THE TARIFF?

A. Clauses 18 and 19 of the Order set forth the required processes. Specifically, clause 18(d) requires that if "[t]he Commission approves the addition of new resources that are eligible to participate in Rider GGO," the Company "will provide notice to the Commission and the Parties to [Docket] U-36190 to allow the Commission to consider whether subscription fees for Rider GGO should be recalculated."[17] Clause 19 provides that if the Commission determines that fees should be updated, it "shall issue a final determination approving fees no later than six (6) months prior to the date on which participating customers are required to determine whether to renew their participation in Rider GGO."[18] The relevant section of Rider GGO (Section "IV. Contract Period") requires that customers terminate their participation in Rider GGO no later than April 1 of each year. In the absence of such written notice, subscriptions automatically renew on June 1 of each year. As such, a Commission decision to update subscription fees pursuant to LPSC Order No. U-36190 should be issued no later than October 1 prior to the updated prices taking effect on June 1 of the following year.

[17] *See,* LPSC Order No. U-36190 (October 14, 2022), *Entergy Louisiana, LLC, ex parte, In re: Application for Certification and Approval of the 2021 Solar Portfolio, Rider Geaux Green Option, Cost Recovery and Related Relief,* at p. 7.

[18] *Id.*

Q30. GIVEN THE PROCESS AND TIMELINE SET FORTH IN LPSC ORDER NO. U-36190, WHEN WOULD ELL SUBMIT THE REQUIRED REPORT TO ADD PRE-CERTIFIED RESOURCES TO THE GGO PORTFOLIO?

A. This will depend on the timing of when the new resources the Company is proposing to acquire would be placed into service. Generally speaking, the Company would hope to see any changes to the cost of participation in Rider GGO take effect on June 1 of any given year, requiring a Commission decision no later than October 1 of the previous year. As such, ELL would plan to submit the required report in LPSC Docket No. U-36190 no later than July 1 of the year in which a Commission decision on October 1 is needed. As an example, if the new resources being added to the GGO Portfolio are expected to reach commercial operation in the second half of 2027, then ELL would submit the required report, including the changes to Attachments A and B of Rider GGO, no later than July 1, 2026, expecting LPSC approval of such changes by October 1, 2026, and such modifications would go into effect on June 1, 2027. ELL believes this would allow for the Commission's consideration of the updated pricing that would result from inclusion of the additional resources in the GGO Portfolio and sufficient notice to participating customers to determine whether they will elect to continue their GGO subscription.

Q31. HOW WILL REVENUES AND BILL CREDITS ASSOCIATED WITH THE EXPANDED RIDER GGO BE HANDLED FOR RATEMAKING PURPOSES?

A. Revenues and bill credits to participants of Rider GGO will continue to be reflected for ratemaking purposes in the manner that the Commission approved in LPSC Docket No. U-

36190, inclusive of the GGO Cost Allocation Ratio defined in clause 11 of LPSC Order No. U-36190, which ELL is not proposing to change in this proceeding.

Q32. WILL CUSTOMERS INTERESTED IN PARTICIPATING IN RIDER GGO CONTINUE TO BE ACCOMMODATED ON A FIRST-COME, FIRST-SERVED BASIS?

A. Generally, yes. Eligible residential, small general service, and low-income residential customers may subscribe, on a first-come, first-served basis, for a minimum of 2 kW of renewable capacity and may elect additional blocks of 1 kW of the total amount of the GGO Portfolio. The requests from larger C&I customers will be accepted from the GGO Waitlist in the order that their reservation requests were received.

VI. COST RECOVERY FOR 3 GW SOLAR PORTFOLIO

Q33. DOES THE COMPANY PROPOSE COST RECOVERY TREATMENT FOR THE PROPOSED SOLAR RESOURCES ENTIRELY THROUGH EXISTING MECHANISMS?

A. Yes. The Company is requesting that costs for the proposed solar resources be deemed eligible for recovery through the FAC and the FRP, if such a mechanism continues to exist. More specifically, in order to maintain consistency with the GGO Cost Allocation Ratio approved in LPSC Order No. U-36190, and which the Company is not requesting to modify in this proceeding, ELL is proposing that 75% of the costs associated with the PPAs be

deemed eligible for recovery through the Company's FAC.[19] The Company is also proposing that the estimated revenue requirements associated with the costs of any owned resources and 25% of the costs of the PPAs that have NRIS or NITS through MISO be deemed eligible for recovery through and in accordance with the Company's then applicable FRP, or through base rates if no FRP exists, which is a contingency I describe more fully below.

Q34. WILL SUBSCRIPTION FEES FROM BOTH THE GEAUX GREEN AND GEAUX ZERO TARIFFS HELP OFFSET THE COST OF THE SOLAR RESOURCES FOR OTHER CUSTOMERS?

A. Yes. The Company is proposing that the subscription fees collected from participants in Rider GGO and Rider GZ be reflected in the same mechanisms proposed for recovery of the costs of the 3 GW Solar Portfolio, *i.e.*, the Company's FRP and FAC, thus reducing, or offsetting, the costs to all customers through those mechanisms consistent with LPSC Order No. U-36190. To allocate the revenues generated from subscription fees between these mechanisms, the Company will continue to utilize the GGO Cost Allocation Ratio approved in LPSC Order No. U-36190, which will be determined annually based on levels of total subscriptions available under the GGO Portfolio as well as the similar GZ Cost Allocation Ratio, which will be determined annually for resources offered under Rider GZ. The reflection of these subscription fee revenues through the FRP and FAC mechanisms

[19] This approach assumes that all PPAs entered into as a result of this certification will provide capacity value such that the underlying solar facility has NRIS or NITS through MISO. If any PPAs only have Energy Resource Interconnection Service ("ERIS") through MISO, then 100% of the costs associated with such PPAs would be recovered through the Company's FAC.

will offset the costs that customers would otherwise incur for the 3 GW Solar Portfolio and other resources included in the GGO Portfolio.

Q35. HOW WILL REVENUES AND BILL CREDITS ASSOCIATED WITH RIDER GZ AND THE POTENTIAL EXPANSION TO RIDER GGO BE HANDLED FOR RATEMAKING PURPOSES?

A. Revenues and bill credits to participants of Rider GGO will continue to be reflected for ratemaking purposes in the manner that the Commission approved in LPSC Docket No. U-36190, inclusive of the GGO Cost Allocation Ratio defined in clause 11 of LPSC Order No. U-36190, which ELL is not proposing to change in this proceeding. Revenues and bill credits to participants of Rider GZ will be reflected for ratemaking purposes in the same manner as those to participants of Rider GGO,[20] with one adjustment: the capacity-related bill credit provided to participants of Option B in Rider GZ shall be considered purchased capacity costs recoverable through the Additional Cost Mechanism ("ACM") provision of ELL's FRP, or the successor mechanism thereto. If no FRP is in place when the capacity costs are incurred, the Company shall be allowed to defer the purchased capacity costs associated with the capacity-related bill credits provided to Option B participants in Rider GZ during the period from the incurrence of the costs until such time as the rates that reflect such purchased capacity costs take effect. The Company shall be allowed to accrue interest

[20] The energy-related bill credits in Rider GZ will be recorded through the FAC, consistent with the treatment of bill credits associated with Rider GGO as approved by LPSC Order No. U-36190. Effectively, these energy-related bill credits and the MISO energy revenue for resources included in Rider GZ would offset one another within the FAC.

on the net-of-tax balance of the deferred purchased capacity costs at the then-current weighted average cost of capital during the period in which such costs are deferred.

Q36. HOW WILL THE USE OF THESE MECHANISMS TO RECOVER THE COST OF THE RESOURCES AND REFLECT THE OFFSETS ULTIMATELY AFFECT RATES?

A. At a high-level, the Company's expectation is that the entire 3 GW portfolio will be fully subscribed through Rider GZ (or through Rider GGO, as applicable). As a result, participants in Rider GZ will pay a portion of the costs and receive certain benefits of the new resources. However, Rider GZ also protects non-participants. The net effect of the two Geaux ZERO options for participants versus all customers (including non-participants) is further summarized within the following table.

	Net Effect for Participants	Net Effect for All Customers
Geaux ZERO Option A	• Pay GZ REC Charges in exchange for RECs from subscription • Premium product	• The revenue from GZ REC Charges offsets a portion of the costs of renewable resources, increasing the net benefits available to all customers[21]
Geaux ZERO Option B	• Pay GZ Energy Charges which are offset by bill credits for energy and capacity value; participants also receive RECs from subscription • Net savings are possible	• Many of the costs and benefits of resources offset one another such that there is minimal impact on all customers[22] • Ultimately, the costs that remain for all customers are the non-participants' share of avoided capacity costs of the GZ Option B portfolio. Those costs will be offset by the load payment component of variable supply costs savings from the GZ Option B portfolio

[21] GZ REC Charge revenue from Option A participants will reduce the costs of the resources in rates for all customers, while still allowing all of the capacity and energy benefits of the resources to be realized by all customers.

[22] For example, GZ Energy Charge revenue from Option B participants will reduce the costs of the resources in rates for all customers. In addition, Geaux ZERO energy-related bill credits to Option B customers are fully offset by MISO energy revenue in the fuel adjustment.

VII. PUBLIC INTEREST

Q37. YOU INDICATED PREVIOUSLY THAT YOU WOULD DISCUSS WHY, IN YOUR OPINION, THE COMPANY'S APPLICATION IS IN THE PUBLIC INTEREST. WHAT IS THE PUBLIC INTEREST?

A. The public interest is that which is thought to best serve everyone; it is the common good. If the net effect of a decision is believed to be positive or beneficial to society as a whole, it can be said that the decision serves the "public interest."

Public utilities in general, and electric utilities in particular, affect nearly all elements of society. Public utilities have the ability to influence the cost of production of the businesses that are served by them, to affect the standard of living of their customers, to affect employment levels in the areas they serve, and to affect the interests of their investors. In sum, public utilities affect the general economic activity in the state.

In determining whether a particular decision or policy is in the public interest, there is no immutable law or principle that can be applied. While the public interest is often defined in terms of "net benefits," such a test or standard merely substitutes one expression for another. The difficulty is in defining and, if possible, quantifying the "net benefits."

It is recognized that "net benefits" cannot simply be defined as lower prices. For example, if lower prices are achieved through a reduction in the reliability or quality of service, it may very well be perceived that the lower prices have not produced net benefits. Similarly, higher prices might not produce negative net benefits or detriments. For example, if an existing price is low due to a cross-subsidy, removing that subsidy would raise that price, but doing so would not necessarily be detrimental. While I am not an attorney, I understand that the Louisiana Supreme Court reached just such a conclusion in

City of Plaquemine v. Louisiana Public Service Commission, 282 So. 2d 440 (La. 1973), when it found that:

> The entire regulatory scheme, including increases as well as decreases in rates, is indeed in the public interest, designed to assure the furnishing of adequate service to all public utility patrons at the lowest reasonable rates consistent with the interest both of the public and of the utilities.
>
> Thus the public interest necessity in utility regulation is not offended, but rather served by reasonable and proper rate increases notwithstanding that an immediate and incidental effect of any increase is improvement in the economic condition of the regulated utility company.[23]

Objective measurement of how a decision affects the public interest is problematic at best. For decades, regulatory decision-making has been tested in the courts by a balancing-of-interests standard. In these cases, beginning with *Federal Power Commission v. Hope Natural Gas Company*, 320 U.S. 591, 660 (1944), the courts have found that if the regulatory body's decision reflected a reasonable balancing of customer and investor interests, the decision was to be affirmed as just and reasonable.

In sum, determining whether a decision is in the "public interest" requires a balancing of the various effects of a particular course of action measured subjectively over the longer run. Whether a course of action is in the public interest will depend upon factors that are potentially quantifiable on an estimated basis, such as likely changes in costs, as well as upon other factors that are not quantifiable, such as the effect of that course of action on the robustness of a competitive market. Finally, while witnesses can provide facts and opinions that bear on this issue, the decision-maker, the Commission, in the first instance must ultimately determine whether a utility's proposal is in the public interest.

[23] *Id*. at 442-43.

Q38. IN YOUR OPINION, IS THE COMPANY'S PROPOSAL TO ADD UP TO 3,000 MW OF SOLAR PV RESOURCES TO ITS SUPPLY SIDE PORTFOLIO IN THE PUBLIC INTEREST?

A. Yes. I base this opinion on a number of factors discussed in detail by Ms. Beauchamp in her Direct Testimony and Supplemental Direct Testimony. As she discusses, the Company's projected load, including a reserve margin, exceeds the expected capacity of ELL's existing and LPSC-approved resources. This load forecast indicates a need for additional generating capacity over the course of the long-term planning horizon to replace deactivated capacity and address load growth in order to reliably serve customers. In recent filings with the LPSC, including ELL's Draft 2023 Integrated Resource Plan ("IRP") provided in LPSC Docket No. I-36181, solar resources specifically have been identified as one of the economic options to address ELL's long-term capacity and energy needs, owing in part to the declining cost of solar resources over the past decade relative to other types of generation, as well as to ELL's recent investments in dispatchable, gas-fired generation, which generation serves as the foundation for ELL's ability to integrate intermittent resources like solar into its resource portfolio without jeopardizing reliability or shifting cost responsibility for that reliability to customers of other utilities. As Ms. Beauchamp describes, renewable resources, such as solar, are energy producing resources that help ELL meet both its capacity and energy requirements over the long-term planning horizon. The amount of capacity and energy sought in this docket, therefore, is an appropriate step towards meeting the future capacity and energy needs of ELL.

Moreover, as was demonstrated in LPSC Docket No. U-36190 and as described by Ms. Beauchamp in her Direct Testimony and Supplemental Direct Testimony, bringing more emission-free generation resources to Louisiana helps protect the environment in which all of our customers live and work, but those resource additions must be done in a way that does not negatively impact reliability and resource adequacy throughout the state. ELL's proposal in this Docket will facilitate deployment of solar resources in Louisiana, where our communities can benefit directly from the investment, project construction, and improved local reliability. And, again as discussed by Ms. Beauchamp and Mr. May, ELL's addition of renewable resources can help attract new commercial and industrial projects to Louisiana that can have profound and long-term benefits to the state and its citizens. These new projects create construction and permanent jobs, tax base, and spending that can have long-lasting economic impacts throughout Louisiana. Additionally, electric sales to these new customers by ELL creates incremental non-fuel revenue that helps offset the fixed cost to run a utility, including some of the costs of adding renewable resources. For all of these reasons, it is my opinion that the Company's proposal is in the public interest, and the Commission should so find.

Q39. IN YOUR OPINION, IS THE ALTERNATIVE MARKET-BASED MECHANISM THAT THE COMPANY HAS PROPOSED IN THE PUBLIC INTEREST?

A. Yes. I base this opinion on a number of factors discussed in detail by Company witness Ms. Beauchamp, including that the proposed alternative market-based mechanism consists of steps that include many of the same steps as the traditional RFP process but with certain significant differences that are designed to enable timelier procurement of resources while

protecting customers' interests consistent with the spirit and intent of the Commission's MBM Order. As described by Ms. Beauchamp in her Direct Testimony filed on March 13, 2023, solar resources lend themselves to market tests that are faster than the traditional RFP and certification processes generally allow. The Company's proposed alternative framework is therefore designed to expedite the processes that allow for solar development by ELL through a more efficient and competitive process, while still preserving the Commission's jurisdiction over resource adequacy. As Ms. Beauchamp discusses in her Supplemental Direct Testimony, this framework will better conform the procurement process to current market dynamics and the challenges faced by the development of solar resources, which will benefit ELL's customers by enabling solar developers to offer ELL more competitive pricing and other terms, thus lowering the cost and improving the risks and economics of these resources, all else equal. And by enabling solar developers to offer ELL more competitive pricing and other terms, the proposed process will help optimize the chances that new solar resources are competitive and in the public interest, thereby increasing the likelihood that solar resources are completed and placed into service.

In addition, the Company's proposed alternative process still will have a competitive procurement process that will occur after an order is issued in this Docket, with timelines that better leverage competition that is available in today's utility-scale solar market. Therefore, although the market-based mechanism proposed by ELL in this Docket is different from the mechanism found in the MBM Order, this proposal is aimed at achieving the same goals as the MBM Order, simply on a faster timeline by shortening the steps and having some of those steps occur on a rolling basis as described by Ms. Beauchamp.

Finally, as Ms. Beauchamp explains, the Company envisions close collaboration with Commission Staff to ensure that ELL is meeting the LPSC's expectations, and also intends to engage an Independent Monitor to help ensure that the proposed process is conducted fairly and in accordance with the process approved by the LPSC.

For all of these reasons, it is my opinion that the Company's proposed alternative market-based mechanism is in the public interest, and the Commission should so find.

Q40. IN YOUR OPINION, IS THE PROPOSED GEAUX ZERO TARIFF IN THE PUBLIC INTEREST?

A. Yes. Rider GZ responds to the significant and growing customer interest in renewable resources and products to achieve corporate sustainability objectives and provides a path for much larger renewable subscriptions than currently permitted by Rider GGO, while preserving a fair allocation of costs and benefits for all customers under the Commission's supervision. For all of these reasons, it is my opinion that the proposed Rider GZ is in the public interest, and the Commission should so find.

Q41. IF RIDER GZ ULTIMATELY IS NOT FULLY-SUBSCRIBED, IS IT STILL YOUR OPINION THAT THE COMPANY'S PROPOSAL TO ADD UP TO 3,000 MW OF SOLAR PV RESOURCES IS IN THE PUBLIC INTEREST?

A. Yes. As discussed by Ms. Beauchamp, the structure of the alternative market-based mechanism, and the timing of the windows for submission of proposals in relation to the timing of the windows in which customers can subscribe to Rider GZ, allows for the Company to evaluate the subscription levels to Rider GZ during the acquisition of

resources along with other considerations like the balance of resources needed to meet capacity and energy requirements for ELL. This will allow the Company to coordinate the amount of resources acquired with the subscription levels of Rider GZ and capacity and energy deficits such that the acquisition of resources pursuant to any order in this docket delivers benefits to all ELL customers. Moreover, even if customers do not subscribe to the full 3,000 MW proposed through Rider GZ as the Company anticipates, under the Company's proposal, any unsubscribed capacity would be allocated to an expansion of Rider GGO. Under those circumstances, and as I discussed above, all customers will benefit, even those not participating in these renewable options.

Q42. IN YOUR OPINION, IS THE POTENTIAL EXPANSION OF RIDER GGO IN THE PUBLIC INTEREST?

A. Yes. Expanding Rider GGO, and the proposed modifications that are necessary to do so, serve the public interest. The potential modifications to Rider GGO do not alter any of the key attributes that contributed to the Commission's determination that implementation of Rider GGO would serve the public interest in LPSC Docket No. U-36190. These attributes included the fact that Rider GGO allows for the orderly integration of renewable resources under the Commission's jurisdiction, responds to the growing customer interest in renewable resources and products to achieve corporate sustainability objectives, and provides a reasonable allocation of value among participants and all customers. The potential modifications proposed in this Docket preserve these attributes and simply seek the ability to make Rider GGO available to more customers by accommodating the expansion of the number of solar resources in the GGO Portfolio. For all these reasons, it

is my opinion that the modifications requested for Rider GGO are in the public interest, and the Company requests that the Commission so find.

VIII. REQUESTED REGULATORY APPROVALS

Q43. IS THE COMPANY SEEKING REGULATORY APPROVALS ASSOCIATED WITH THE POTENTIAL FINANCIAL IMPLICATIONS RESULTING FROM ANY PPAS ENTERED INTO PURSUANT TO THE APPLICATION?

A. Yes. The Company is asking the Commission to acknowledge that it may become necessary for the Company to seek rate relief if, during the terms of the PPAs, the Company should experience adverse financial implications resulting from the PPAs. These adverse financial implications could arise from debt imputation or the recognition of long-term liabilities from the application of lease accounting to the PPAs.

The Company works to maintain a credit rating that supports a low total cost of capital for customers, while providing the financial stability and flexibility for the Company to support the safe and reliable operation of its business. The Company's credit ratings, and the cost of debt, reflect this balance. Credit ratings agencies, like Standard & Poor's ("S&P"), impute additional debt to the Company, on a risk adjusted basis, for PPAs. While the Company currently enjoys an A (stable) rating from S&P and an A2 (negative) rating from Moody's Investors Services, there is a risk that transactions like PPAs may affect the Company's credit ratings to the extent that the imputation of debt becomes a more significant factor in the Company's credit profile, or S&P determines that there are additional risks to the recovery of amounts under the PPAs or similar transactions. The risk presented by this imputation supports the Company's previously stated goal of maintaining

a balance of PPAs to owned resources. This is particularly true because the imputation discussed here may cause the Company to have to act – and to incur costs – to maintain its investment grade credit rating and to avoid a variety of potential increased costs to customers that would result from a sub-investment grade credit downgrade, such as increased borrowing costs and increased costs of capital. If the Company were required to treat PPAs as leases, because the accounting rules or interpretation of those rules change, it may have a material effect on ELL's balance sheet and financial condition and could raise the cost of serving customers.

Q44. IS THE COMPANY SEEKING RATE RELIEF AT THIS TIME REGARDING POTENTIAL EFFECTS OF DEBT IMPUTATION OR LEASE ACCOUNTING?

A. No. At this time, the Company is not asking the Commission to grant the Company rate relief to address any costs that the Company may incur as a result of the above-described debt imputation or lease accounting. The Company does, however, ask that the Commission recognize, in its order approving the Application, that the Company is entitled to seek rate relief as determined by the Commission to address the potential adverse effects of debt imputation or lease accounting, should those effects occur, and to commit that the Commission will determine the form of and provide such relief in a timely manner.

Q45. IS THE COMPANY SEEKING ANY SPECIFIC REGULATORY APPROVALS RELATING TO THE MODEL CONTRACTS?

A. Yes. The Company is seeking specific approval of the terms, conditions, rights, remedies, and limitations set forth in the Model PPA and the Model Build Own Transfer ("BOT")

agreement (collectively the "Model Contracts") that are described in the testimony of Company witness Troy Heytens along with confirmation that ELL, its member entity, and Entergy Corporation shareholders shall not be responsible, beyond the remedies specified in the Model Contracts, for any acts or omissions by sellers, their employees, or contractors of any tier in connection with those entities' ownership or operation of the facilities, including, without limitation, failure to deliver the products, which are described above, and the resulting effects to ELL's rates.

Q46. WHY IS THE COMPANY SEEKING THIS CONFIRMATION FROM THE COMMISSION?

A. Future PPAs that the Company enters into as a result of this application are expected to provide economic sources of energy and will benefit customers. However, ELL will not own or operate such facilities, and the terms of the contracts do not provide ELL with any right to direct or manage the operations or maintenance of the solar resources. While ELL will have contractual rights to monitor and review the seller's work, it will not have direct control over the construction of the projects. As a result, circumstances beyond ELL's control could interrupt delivery of the products contracted for under the contracts and result in an increase in the cost to serve ELL's customers. As part of the Commission's approval of the Model Contracts, ELL needs confirmation from the Commission that the Company can recover from customers the costs it prudently incurs to address any such circumstances. In other words, in approving the Model Contracts, the Commission would accept the well-defined recourse that ELL and its customers have under the contracts in the event of non-

performance and foregoing the ability to disallow any cost increases occasioned by a seller's failure to deliver the products.

Were the Commission to automatically impute to ELL the fault of the contract counterparties, or their contractors, this would present an unacceptable risk to ELL and would impair its ability to meet resource needs by contracting with third parties under PPA or BOT arrangements. The traditional regulatory compact under which ELL operates does not compensate it for assuming the risk of disallowances attributable to the acts or omissions of a third party seller or its contractors—over which ELL has absolutely no control and can address only through its contractual rights. Thus, ELL seeks the Commission's specific confirmation that, in approving the Model Contracts, it is approving the adequacy of the contractual rights and remedies that ELL will negotiate with the sellers to protect against potential risks. Refusing to recognize ELL's contractual rights as adequate and instead conferring on ELL all risks caused by the acts and omissions of any seller and its contractors conflict with good public policy and the interests of customers by discouraging the use of economic resource structures.

Q47. DOES THE COMPANY'S REQUESTED APPROVAL REGARDING ACTS OR OMISSIONS BY THE SELLERS AFFECT ELL'S OBLIGATION OF PRUDENT MANAGEMENT?

A. Absolutely not. ELL is not proposing this approval to avoid or diminish its obligation to manage its business in a reasonable manner. This approval, instead, addresses circumstances beyond ELL's control that could increase the cost to serve ELL's customers.

Under the traditional regulatory compact, ELL is entitled to recover the costs that are prudently incurred to address such circumstances.

Q48. IS THE COMPANY SEEKING ANY EXEMPTIONS FROM THE MBM ORDER?

A. Only to the extent that the Commission does not approve the Company's proposed alternative market-based mechanism as serving the public interest and therefore constituting an acceptable alternative and thus compliant with the MBM Order. In that instance, the Company requests that it be exempted from the formal RFP process set forth in the MBM Order.

Q49. PLEASE SUMMARIZE THE REGULATORY APPROVALS THAT ELL IS SEEKING.

A. As set forth in its Application, the Company requests, among other things, that the Commission:

1. find that the alternative market-based mechanism proposed in this docket is in the public interest and, therefore, is consistent with the Commission's MBM Order, and/or, in the alternative, grant any exemption to the MBM Order deemed necessary by the Commission;
2. find that the up to 3,000 MW of additional solar resources that will be procured within the approved transaction parameters pursuant to any order issued in this docket serve the public convenience and necessity, are in the public interest, and are therefore prudent, in accordance with the Commission's 1983 General Order;

3. find that the proposals made by the Company in this docket have complied with, or are not in conflict with, the provisions of all applicable LPSC Orders, to the extent applicable;

4. find that Rider GZ as proposed in this docket is in the public interest and, therefore, is approved for implementation;

5. approve the proposed cost recovery treatment associated with Rider GZ as proposed below;

6. find that a portion of the solar resources that will be procured pursuant to any order issued in this docket are eligible for inclusion in the Rider GGO resource portfolio;

7. for the portion of the solar resources that are ultimately included in Riders GZ and/or GGO, find (i) that 75% of costs associated with the resources acquired through PPAs that have NRIS or NITS through MISO, 100% of costs associated with the resources acquired through PPAs that do not have NRIS or NITS through MISO, a portion (as determined by the GGO Cost Allocation Ratio approved in LPSC Order No. U-36190 and the GZ Cost Allocation Ratio proposed in this Application) of the subscription fees generated through Riders GGO and/or GZ, all MISO energy revenues for the resources included within Riders GGO and/or GZ, and the energy-related bill credits for Riders GGO and/or GZ are deemed eligible for inclusion in and recovery via the Company's FAC; and (ii) that the estimated revenue requirements of owned solar resources, 25% of the costs associated with resources acquired through PPAs that have NRIS or NITS through MISO, and a portion (as determined by the GGO Cost Allocation Ratio approved in LPSC Order No. U-36190 and the GZ Cost Allocation Ratio proposed in this Application) of the

subscription fees generated through Riders GGO and/or GZ, are deemed eligible for recovery in accordance with the terms of the Company's FRP that is in place at the time the facilities are placed into service; in the alternative, if ELL does not have an FRP in place at the time the solar facilities are placed in service, grant the Company permission to defer the applicable revenue requirements of the owned resources and 25% of the costs associated with resources acquired through PPAs that have NRIS or NITS through MISO (net of Riders GGO and/or GZ revenues – allocated in accordance with the GGO Cost Allocation Ratio and the GZ Cost Allocation Ratio proposed in this Application, as applicable), and establish a regulatory asset, including carrying costs at the then-effective weighted average cost of capital, until those costs can be reflected in rates;

8. find that the costs associated with the solar resources that are added to the Company's portfolio pursuant to any order in this docket are eligible for recovery through mechanisms in place at the time that the respective resources are placed into service;

9. find that a 30-year depreciation period is appropriate for any solar facility that is owned by the Company and which is acquired pursuant to any order in this docket;

10. find that the Company is entitled to seek rate relief from the Commission to address any adverse effects of debt imputation or lease accounting that result from any PPA that is entered into pursuant to any order in this docket, at such a time as those effects arise; and

11. approve the terms, conditions, rights, remedies, and limitations set forth in the Model PPA and Model BOT agreement and confirm that ELL's shareholders shall

not be responsible, beyond the remedies specified in those documents, for any acts or omissions by any seller, its employees, or its contractors of any tier in connection with seller's ownership or operation of the relevant facility, including, without limitation, seller's failure to deliver the contracted products.

Q50. DOES THIS CONCLUDE YOUR DIRECT TESTIMONY?

A. Yes, at this time.

AFFIDAVIT

STATE OF LOUISIANA

PARISH OF JEFFERSON

NOW BEFORE ME, the undersigned authority, personally came and appeared, **Elizabeth Ingram**, who after being duly sworn by me, did depose and say:

That the above and foregoing is her sworn testimony in this proceeding and that she knows the contents thereof, that the same are true as stated, except as to matters and things, if any, stated on information and belief, and that as to those matters and things, she verily believes them to be true.

Elizabeth Ingram

SWORN TO AND SUBSCRIBED BEFORE ME
THIS 24th DAY OF APRIL 2023

NOTARY PUBLIC

My commission expires: at death

LAWRENCE J. HAND, JR., 23770
Notary Public in and for
the State of Louisiana.
My Commission is for Life.

Previous List of Testimony Filed by Elizabeth C. Ingram

DATE	TYPE	JURISDICTION	DOCKET NO.
09/30/2019	Direct	LPSC	U-35385
12/16/2019	Direct	LPSC	U-35443
08/07/2020	Rebuttal	LPSC	U-35385
08/21/2020	Settlement	LPSC	U-35443
03/09/2021	Direct	LPSC	U-35916
04/23/2021	Settlement	LPSC	U-35565
06/14/2021	Settlement	LPSC	U-35385
10/08/2021	Rebuttal	LPSC	U-35916
11/09/2021	Direct	LPSC	U-36190
01/21/2022	Direct	LPSC	S-36260
02/21/2022	Rebuttal	LPSC	U-36105
02/24/2022	Settlement	LPSC	U-35916
06/09/2022	Rebuttal	LPSC	U-36190
06/24/2022	Settlement	LPSC	U-36105
08/29/2022	Settlement	LPSC	U-36190
02/28/2023	Direct	LPSC	U-36685